

EQUITY

&

TRUSTS

"When I hear of an 'equity' in a case like this, I am reminded of a blind man in a dark room looking for a black hat that isn't there."

- Lord Bowen-

1. THE LAW OF EQUITY

Topical Outlines

1. Historical Origin and Development of Law of Equity in England
2. Maxims of Equity
3. Equitable Remedies include Injunctions, Specific Performance Etc.
4. Application of Equity in Kenya -
5. The Nature, Historical Origin & Development Of Law Of Equity In England

DEFINITION OF EQUITY

Equity has an ordinary meaning and a technical meaning.

In the ordinary sense, equity means fairness, justice, morality, fair play, equality etc. We are talking about doing good, doing what is morally right.

In a legal sense equity, it is the branch of the law which, before the Judicature Act of 1873 came into force, was applied and administered by the Court of Chancery. A litigant asserting some equitable right or remedy must show that his claim has “an ancestry founded in history and in the practice and precedents of the court administering equity jurisdiction.

In the technical sense equity refers to a body of rules and some authors have defined equity as that which is not the common law. They distinguish equity from the common law. It is regarded as a body of rules that is an appendage to the general rules of law.

To understand why equity is not common law, we must delve into the history of how equity evolved. There was only the common law in England originally there was only one body of law. Common law is to be found in case law that developed over the years and was administered by the king's justices. There were 3 courts then, the Kings Bench, the Court of Common Pleas and the Exchequer.

The Kings Bench got its name from a practice where the king would sit with his judges in “banco” or on the bench and they would hear civil and criminal cases in which the King had an interest.

The Court of Common Pleas dealt with civil cases brought by one individual against another individual.

The Exchequer dealt with cases affecting the royal revenue, matters to do with taxes for example would be dealt with here.

Under the Common law system there was the writ system. Under the writ system a person could only get redress for their grievance if there was a writ disclosing the cause of action.

Apart from the writ system there was also the doctrine of precedence. At this point in time, i.e. 12th century it was felt that the common law system was very rigid.

There was a statute that restrained the Chancellor from issuing new types of writs on his own initiative but because of the Provisions of Oxford of 1258 the Chancellor could not issue any new writs and all this added to the rigidity of common law. At this time there were some defendants who were very strong and at times they would defy the courts' orders and the Plaintiffs would be intimidated. Those were medieval dark ages. Due to all these factors, plaintiffs were not able to have all their grievances addressed and therefore those aggrieved would go and implore the King. The King would then exercise the extra judicial powers if there was no remedy available or if the writ was not recognized as a cause of action. Where there was a failure to administer the available remedy, the King could also exercise extra judicial powers.

This practice continued with people continuing to petition the King and this gave rise to establishment of the Court of Chancery which developed as a separate court from the 3 common law courts. At that time the jurisdiction of that court was not well defined, the court was headed by the Chancellor as the King had requested the Chancellor to handle those cases and the Chancellor would exercise his powers based on the notion of conscience. If he felt a case required intervention he would then provide remedy. There was a theory about conscience, or a notion of conscience that was supposed to be based on rules of natural justice. It was difficult because what would shock the conscience of one Chancellor would not necessarily shock another chancellor.

As time went on and Chancellors began to issue remedies in similar cases, some body of rules developed, at that point a phrase referring to the Chancellor's foot was coined which was 'equity is as long as the chancellor's foot' which meant that equity was what the chancellor decided was equity. Over time a body of rules called Equity developed.

The Chancellors also provided a remedy where there was a common law rule but it was too harsh and if applied to the letter the harshness would be unjust. The Chancellors would provide a remedy to mitigate the harshness of common law. What would happen was that if it was possible to amend the common law rule to mitigate the harshness, that common law would be modified.

But if the common law rule was too rigid, equity would leave it alone and would instead develop a new rule. It has been said by scholars that in this instance, equity came to fill in the gaps left by common law. In this second instance equity was seen as aiding and supplementing the common law. Authors talk about equity coming in to supplement the common law and not to supplant the common law.

The reason why Equity is distinct from common law is because Equity appears at a later stage of legal development and that is why we define it as that which is not the common law since it developed separately and came after the common law.

There came a time when equity became systematized because over the years you would have chancellors looking at previous decisions to find similarity and something akin to following precedent developed. More judicial officers were appointed to help the chancellors and a court of Appeal was developed to help the Chancellors. Systematization led to rigidity. Those rules of equity became as fixed as those of the common law and became stereotyped.

Lord Eldon who in the case of **Gee V. Pritchard** stated that

"the doctrines of this court ought to be as well settled and made as uniform almost as those of the common law, laying down fixed principles, but taking care that they are to be applied according to the circumstances of each case. I cannot agree that the doctrines of this court are to be changed with every succeeding judge. Nothing would inflict on me greater pain, in quitting this place, than the recollection that I had done anything to justify the reproach that the equity of this court varies like the Chancellor's foot."

He was asking that a balance be struck to avoid inconsistency.

When the new body of rules came into existence, it meant that whatever claim one had in equity had to be accommodated by equity and not every wrong could be accommodated by equity and because of this, the Court of Appeal said in

Re Diplock [1948] Ch. 465 at 481

"If the claim being made did exist, 'it must be shown to have an ancestry founded in history and in the practice and precedents of the courts administering equity jurisdiction. It is not sufficient that because we may think that the 'justice' of the present requires it, we should invent such jurisdiction for the first time." as at 1948 the court was saying that they were not going to invent jurisdiction.

Jessel in Re National Funds Assurance Co.

In this case a great equity Judge justifiably made the paradoxical remark: 'this court is not as I have often said a court of conscience but a court of law' this was as at 1878 and so looking at the picture from the 13th Century, this shows that this had ceased to be a court of conscience and had become a court of law.

By this time there were four court systems and people found themselves being tossed from one court to another and this was disadvantageous and inconvenient to the litigants. The common law courts had power to award damages while the court of chancery had power to award injunction and specific performance. The court of equity had no power to award damages so there was a lot of rivalry between common law courts and courts of chancery. The Earl of Oxford where the dispute was resolved with equity rules by the king.

“Equity is not a computer. Equity operates on conscience but is not influenced by sentimentality.”

The courts began to mitigate their disadvantages by themselves to save the parties the expenses of shuttling between the two courts. The Common Law Procedure Act of 1854 gave the Common Law Court a limited power of granting injunctions something that was previously the preserve of the courts of Chancery. By the Chancery Amendment Act of 1858 the Court of Chancery was given power to award damages, this is the two courts mitigating each other's disadvantages by applying each others rules and complementing each other.

A merger of the two courts eventually happened made possible by the Judicature Act of England of 1873 and 1875. By virtue of these two Acts all the courts were amalgamated into one Supreme Court of the Judicature which had two divisions, the Court of Appeal and the High Court. The High Court had 5 divisions

- a. The Queen's Bench
- b. Common Pleas
- c. Exchequer
- d. Chancery
- e. Probate Divorce and Admiralty which dealt with disputes involving the high seas.

In 1880 there was an Order in Council which reduced the divisions to 3

- a. The Queens Bench encapsulating the original kings or queens bench, the court of common pleas and the exchequer;
- b. The Court of Chancery
- c. Probate Divorce and Admiralty.

There was an Act called the Administration of Justice Act of 1970 which occasioned further changes and Probate, Divorce and Admiralty became the Family Division.

Matters dealing with Admiralty were now taken to a division within the Queen's Bench.

In 1981 the Supreme Court Act of 1981 affirmed those divisions. This arrangement was such that the Supreme Court was directed to apply both common law and equity but they were now administered in the same court.

Pollock said in a book called leading cases done into English that the courts that were manifold dwindled to diverse divisions of one court the Supreme Court.

The dominant view was that this was not a merger of the rules but a merger of the courts and the rules remained distinct.

Our court system both the Courts of Appeal and the High Court administer both common law rules and equity but yet we have different divisions i.e. family division, children's court, anti-corruption etc the Kenyan court system derived from that system.

Audi alteram partem - In Buganda do not decide the girl's case until you've heard the boy's case.

Nemo iudex in causa sua proverb - a monkey does not decide an affair of the forest.

Categories of Tort:

Nominate torts - *damnum sine injuria* - damages not recognized by the law of court

Injuria sine damnum - recognized by the law of tort -

Equity came in to mitigate injustice by providing remedy that was not available in common law.

Principles of justice and conscience are the basis of equity jurisdiction, but it must not be thought that the contract between law and equity is one between a system of strict rules and one of broad discretion. Equity has no monopoly of the pursuit of justice. As Harman L.J. has said, equitable principles 'are rather too often bandied about in common law courts as though the Chancellor still had only the length of his own foot to measure when concluding.

Until the Judicature Act of 1873, the Court of Chancery had almost exclusive equity jurisdiction; rules of equity were not enforced in the common law courts. If a defendant to a common law action had an equitable defence to it, he had to go to Chancery to obtain an injunction to stay the proceedings in the common law court and then start a new action in chancery to establish his equitable rights.

In the medieval period the Chancellor was the most important person in the country next to the King himself: One very important function of Chancery was to issue the royal writs which began an action at law. By varying existing writs or invention new ones, the Chancellor could have some influence on the development of the law; a limited influence however, for the decision to issue a writ (now called a claim form in Civil Procedure Rules 1998) did not create a new form of action. The litigant could not proceed without it; but the common law court could still decide that the writ disclosed no claim recognized by the law.

A claimant could only sue at common law if his complaint came within the scope of an existing writ. In the 13th century the available writs covered very narrow ground. Even if the claim came within the scope of an existing writ, it may have been that for some reason, such as the power and influence of the defendant, his opponent could not get justice before a common law court.

The chancellor would give or withhold relief, not according to any precedent, but according to the effect produced upon his own individual sense of right and wrong by the merits of the particular case before him. No wonder Seldon could say that 'Equity is a roguish thing. For law we have a measure Equity is according to the conscience of him that is Chancellor, and as that is longer or narrower, so is equity. 'Tis all one as if they should make the standard for the measure a Chancellor's foot.'

The Chancellor's jurisdiction was against the person; *in personam*, and directed to the conscience of the individual in question.

2. Maxims of Equity

These maxims of equity are statements which embody rules of equity. They are only guidelines. They are not applied strictly in every case. But they help us to understand what the rules of equity are. No logical sequence and they often overlap. You can have two maxim that actually says the same thing. You can have one equity which is the exact opposite of another maxim:

1. *He who seeks equity must do equity*

2. *He who comes to equity must come with clean hands*

3. *Equity is equality (Equality is equity)*
4. *Equity looks to the intent or substance rather than the form*
5. *Equity looks upon as done that which ought to be done*
6. *Equity imputes an intent to fulfill an obligation*
7. *Equity acts in personam*
8. *Equity will not assist a volunteer (Equity favours a purchaser for value without notice)*
9. *Equity will not suffer a wrong to be without a remedy (Where there is a wrong there is a remedy for it) Ubi just ibi remedium*
10. *Equity does not act in vain*
11. *Delay defeats equity*
12. *Equity aids the vigilant and not the indolent (Vigilantibus non dormientibus jura subveniunt)*
13. *Equity follows the law*
14. *Where there is equal equity the law shall prevail*
15. *Where the equities are equal the first in time shall prevail*

1. He who seeks equity must do equity

This maxim means that a person who is seeking the aid of a court of equity must be prepared to follow the court's directions, to abide whatever conditions that the court gives for the relief. And this is most commonly applied in injunctions. The court will normally impose certain conditions for granting the injunction.

Examples: Illegal loans. An old case, though overtaken by law, is still important to illustrate this maxim: *Lodge v National Union Investment Company Ltd* [1907] 1 Ch. 300. This is a case in which B had borrowed money from a money lender, M, and B mortgaged some securities to M for the loan. It turned out that M was not a registered money lender by law (the Money Lenders Act of England). B sued M for delivery of his securities (back to him). And here the court refused to grant the order unless B first repays the loan. Today a court cannot enforce an illegal action, such as this one was.

Contrast that case with the case of *Kasumu v Baba Egbe*, [1956] AC 539. Another case: *Barclays v. Prospect Mortgages Ltd* [1974] 2 All ER 672. Said Lodge did not lay a principle for all time.

Another example--consolidation- we say that mortgagee has lent money to a mortgagor has given two mortgages. On two properties. Under each mortgage there is a loan. And they could have been issued at different times.

A third illustration: notice to redeem a mortgage before the due date. He is required to pay notice to lender or pay the interest remains. Last example: equitable estoppel. Promissory estoppel. By words or conduct, a representation of promise.

Equity will preclude the promisor from resigning from the promises. An example from a land lord-tenant relationship. Assume the lease comes to an end to leave the promises in the states in which he found them on

excluding fair wear and tear. He can only avoid doing equity if he gives notice that he is not putting up a new flat and therefore he will require painting.

There is also proprietary estoppel --one person conducts himself in such a way that : proprietary estoppel arises where one person (a) knowing that another person B is acting under some mistaken belief that B has some right to A's property passively or actively encourages B's act. So B is the person who is mistaken. A is the person who owns ..such as improving the property, under the mistaken belief that he has an interest/right to A's property. A gets to know this, of B's mistaken belief. But he does not correct B. And equity provides here that A will be estopped: he will be excluded from denying B's interest in the property. An example is the case of *Inwards v Baker*, (1965) 2 QB 29 where B has incurred some expenditure in developing some property.

2. He who comes to equity must come with clean hands

Take the case of a tenant and a landlord and this tenant defaults in paying rent. The lease will be forfeited. A right of re-entry by the landlord where the lease is deemed to be forfeited. That is the common law position.

Equity gave relief against forfeiture if the tenant was willing to pay the rent that was outstanding. And therefore, the lease could continue. But relief could only be given if the tenant had clean hands, i.e. had not breached other terms. The case that illustrates this point is *Gill v Louis* [1956] 2 QB. The tenant had used the premises for a purpose that was not allowed under the lease.

This scenario was summed up in another case: He who has committed inequity shall not have equity. This phrase is in the *Jones v. Lenthall* (1669) 1 Ch, Ca 154). There is a limit to this rule. In some cases, the court has the discretion whether to apply that maxim. Limit to the extent that maxim can be applied. the limit is this: It is not all unclean hands that will deny a plaintiff his remedy. The conduct must be relevant to the relief being sought.

Duchess of Argyll v Duke of Argyll [1967]

Contrast with *Loughvan v L* (1934) 292 US. Justice Brandeis said equity does not demand that its suitors shall have led blameless lives. We are not concerned with issues of morality. If the breach is a trifle, a small matter, a minor breach, then that in itself should not deny the plaintiff the remedy.

Besant v. Wood [1979] 12 Ch. D. 605.

Hooper v Bromet (1904) 90 Lt 234.

Note: The first maxim deals with now/future, the second deals with conduct in the past.

3. Equity is equality (Equality is equity)

1. Presumption of tenancy in common where there is

- Purchase in unequal shares. Say two people have unequal shares, there is presumption of tenancy in common
 - Purchase in equal shares: severance of joint tenancy. To avoid injustice, to achieve equality, there will be assumption of tenancy in common.
 - Partnership property. Say five partners in a law firm and one of the partners dies. His shares go to his heir: There is presumption that the partners hold a tenancy in common.
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It applies to a situation where two or more people are entitled to the same property and there is no other basis for division. Those who are entitled to property should have certainty and fairness of equal division. Equity in this sense does not mean literal equality but proportionate equality.

It applies to the division of property; where there are rival claimants to property and there is no formula for sharing it out, i.e. no will. And so, the law steps in and it establishes certain rules that will guide the court. And the first rule is in relation to a presumption of a tenancy in common. That is equity will make a presumption to joint tenancy as opposed to a common tenancy.

[Tenancy in common is a tenancy by two or more persons, in equal or unequal undivided shares, each person having an equal right to possess the whole property but no right of survivorship.

Joint tenancy is a tenancy with two or more co-owners who take identical interests simultaneously by the same instrument and with the same right of possession. A joint tenancy differs from a tenancy in common because each joint tenant has a right of survivorship to the other's share

(In some states in the US, this right must be clearly expressed in the conveyance - otherwise, the tenancy will be presumed to be a tenancy in common).

Right of survivorship is a joint tenant's right to succeed to the whole estate upon the death of the other joint tenant.]

Joint tenancy: In certain circumstances the children could inherit, that is, equity will make a presumption of a tenancy in common to avoid injustice.

2. Equal division.

Equality is equity. In general, the maxim will be applied whenever property is to be distributed between rival claimants and there is no other basis for division. Where the following are involved. For example, husband and wife who operates a joint bank account; each spouse may deposit or take out money. Upon divorce, the maxim applies. They share 50-50. The authority is that equity does not want to concern itself with the activities of a husband and wife - to go into the bedroom and make deep inquiries. Hence equal division. If children are involved, that may be considered.

Another example relates to trusts. How do you divide the property? Say there are three beneficiaries, in unequal shares. Then one of the beneficiaries passes away, i.e. one of the shares fails to vest. What should accrue to the surviving beneficiaries? Redistribute equally, applying the rule "Equity is equality". *Re Bowers S.T.* [1942] Ch. 97 discusses this formula.

Another illustration: copyright. You have a situation where you've two people and the author bequeath the scrip to one person and the copyright to another person. Cannot utilize the manuscript without the copyright. Each requires the other. Where that is situation, the proceeds will be divided equally between the two. The case that illustrates this is *Re Dickens*.

-Husband and wife. E.g. after a divorce the court has refused to dissect meticulously the joint bank account into which the husband and wife paid their income, and upon which they both drew, and instead divided the balance equally between them. See *Jones v Maynard*. The principle does not apply while they are still living together, for then their rights in a joint bank account are not meant to be attended by legal consequences (See *Gage v King*, and each will be sole beneficial owner of any property which he or she buys with money drawn from the joint account, subject to any contrary intention.

The rule of equality has been applied in relation to club property as between the members of a club which has ceased to exist (see *Re Sick and Funeral Society of St. John's Sunday School*); and in relation to commission as between two estate agents who have been instructed in the sale of the same property (See *Hampton & Sons v Garrad Smith (Estate Agents Ltd)*).

It has also been applied when an author bequeaths the manuscript of a work to A and the copyright to B, and the publication of the work is made possible only by using the manuscript, prima facie the proceeds of sale of the copyright will be divided equally between A and B (See *Re Dickens*).

The maxim also appears to be responsible for the decision that where property has been settled in unequal shares with a provision that any share which fails to vest shall accrue to the other shares by way of addition, accruer prima facie takes place in equal shares and not in the proportions laid down by the settlor for the original shares (see *Re Bower's S.T.*), even though equality is attained only at the price of altering the proportions prescribed by the settlor.

When to go for proportionate equality or literal equality: It depends. That is answer to every legal question.

4. Equity looks to the substance or intent rather than the form

This maxim makes a distinction between matters of substance and matters of form. Equity will give priority to substance (intention) as opposed to form, if there is a contradiction. This maxim is normally applied to trusts. There have been cases where the court has inferred a trust even where the word trust does not appear.

Another illustration is the remedy of rectification of contract, where equity looks to the intention, where intention matters

This maxim lies at the root of the equitable doctrines governing mortgages, penalties and forfeitures. Equity regards the spirit and not the letter.

Courts of Equity make a distinction in all cases between that which is a matter of substance and that which is a matter of form; and if it finds that by insisting on the form, the substance will be defeated, it holds it to be inequitable to allow a person to insist on such form, and thereby defeat substance. Thus if a party to a contract for the sale of land fails to complete on the day fixed for completion, at law he is in breach of his contract and will be liable for damages e.g. for delay. Yet in equity it will usually suffice if he is ready to complete within a reasonable period thereafter, and thus the other party will not be able to avoid performance.

Another aspect of this maxim is shown by equity's impatience with mere technicalities. Equity was never much impressed by a deed, and it will refuse to decree specific performance of a voluntary agreement even if it is made by deed and so enforceable at law.

5. Equity Regards As Done That Which Ought To Be Done

This maxim has its most frequent application in the case of contracts. Equity treats a contract to do a thing as if the thing were already done, though only in favour of persons entitled to enforce the contract specifically and not in favour of volunteers. Agreements for value are thus often treated as if they had been performed at the time when they ought to have been performed. For example a person who enters into possession of land under a specifically enforceable agreement for a lease is regarded in any court which has jurisdiction to enforce the agreement as if the lease had actually been granted to him. *Walsh v. Lonsdale* the agreement for lease was as good as the agreement itself.

Souza Figuerido v. Moorings Hotel - held an unregistered lease cannot create any interest, right or confer any estate which is valid against third parties. However, it operates as a contract inter parties, it is valid between the parties and can be specifically enforced. The tenant in this case was therefore liable to pay rent in arrears.

6. Equity Imputes An Intent To Fulfil An Obligation

If a person is under an obligation to perform a particular act and he does some other act which is capable of being regarded as a fulfilment of this obligation, that other act will prima facie be regarded as fulfilment of the obligation.

For example suppose that a husband covenants with the trustees of his marriage settlement to pay to them the sum of £50,000, to be laid out by the trustees in the purchase of lands in the county of Devon which are to be settled upon the trusts of the settlement. In fact, the husband never pays the money to the trustees, but after the marriage purchases lands in Devon for £50,000, and has them conveyed to himself in fee simple; and he then dies without bringing the lands into settlement. The purchased lands are in equity presumed to have been purchased by the husband in pursuance of his covenant, and as being in fact his performance of that covenant, so that they become subject to the trusts of his marriage settlement. It is on this maxim that the doctrines of performance and satisfaction are founded.

7. Equity Acts In Personam

This maxim which is descriptive of the procedure in equity, is of less significance now than formally.

This is a maxim which is descriptive of procedure in equity, is the foundation of all equitable jurisdiction. Courts of law enforced their judgments in rem, e.g. by writs of 'fieri facias or elegit' but the originally equitable decrees were enforced by Chancery acting against the person of the defendant (ie by imprisonment) and not in rem against the property involved in the dispute. Later equity invented the alternative method of sequestrating the defendant's property until he obeyed the decree. These methods can still be used where necessary, but other and more convenient methods are often available today. So

- a. The court can often make a vesting order, by virtue of which property will become transferred to some other person (eg where the court appoints a trustee and it is necessary that the trust property should be vested in him).
- b. Where the court orders a person to execute a document (eg where specific performance is decreed against a vendor or land), the court can appoint some person to execute it on his behalf. Where appropriate, common law writs of execution can be used to enforce equitable decrees. Although the maxim has lost much of its importance, it is responsible for the general rule that English court has jurisdiction in equitable matters, even though the property in dispute may be situated abroad, if the defendant is present in this country = *PENN V. BALTIMORE* (the Defendant was ordered to perform a contract relating to land in America). But there must be some equitable right arising out of contract, trust or fraud.

8. Equity Will Not Assist A Volunteer

Equity favours a purchaser for value without notice. A volunteer is a person who has not paid consideration. Exception to the application of this maxim is in Trust.

9. Equity Will Not Suffer A Wrong To Be Without A Remedy

Ubi jus ibi remedium "if there is a wrong, there is a remedy for it.

He who seeks solace in the arms of equity will not go away broken hearted.

Each party has his or her share at the table of equity.

No wrong should be allowed to go unredressed if it is capable of being redressed by equity.

Not all moral wrongs should be redressed by equity.

The maxim must be taken as referring to rights which are suitable for judicial enforcement, but were not enforced at common law owing to some technical defect. Its meaning can be best explained by taking a few examples of the cases in which the court has acted upon it.

Enforcement of trusts: It was on this maxim that the court of Chancery based its interference to enforce uses and trusts. Where A conveyed land to B to hold to the use of, or on trust for C, and B claimed to keep the benefit of the land for himself, C had no remedy at law. Yet such an abuse of confidence was most distinctly a wrong, and a wrong capable of easy redress in a court of justice.

The auxiliary jurisdiction: Again, to this maxim may be traced the origin of the auxiliary jurisdiction of the Court of Chancery, by virtue of which suitors at law were aided in the enforcement of their legal rights. Without such aid these rights would often have been “wrongs without remedies”. For instance, it was often necessary for a claimant in a common law action to obtain disclosure of facts resting in the knowledge of the defendant, or of deeds, writings or other things in his possession or power. The common law courts, however, had no power to order such disclosure, and recourse was therefore had to the Court of Chancery, which assumed jurisdiction to order the defendant to make disclosure on his oath.

Formerly a lessor was not entitled to disclosure of documents in an action brought to forfeit the lease, as the court leans against penalties and forfeitures. This restriction of the normal rule has now been abrogated.

10. Equity Does Not Act In Vain:

The court of equity is shy and does not want to be embarrassed by granting remedies that cannot be enforced or issuing orders that cannot be obeyed by the Plaintiff.

11. Delay Defeats Equity Or Equity Aids The Vigilant And Not The Indolent: *Vigilantibus, Non Dormientibus, Jura Subeniunt*

A court of equity has always refused its aid to stale demands, where a party has slept on his right and acquiesced for a great length of time. Nothing can call forth this court into activity, but conscience, good faith, and reasonable diligence; where these are wanting, the Court is passive, and does nothing. Delay which is sufficient to prevent a party from obtaining an equitable remedy is technically called “laches”.

This maxim, however, has no application to cases to which the Statutes of Limitation apply either expressly or, perhaps, by analogy. There are thus three cases to consider-

- (a) equitable claims to which the statute applies expressly;
 - (b) equitable claims to which the statute is applied by analogy; and
 - (c) equitable claims to which no statute applies and which are therefore covered by the ordinary rules of laches.
- (a) Express Application of the statute. Originally the statute applied only to courts of common law. but then several statutory provisions were enacted which were in terms applicable to equitable claims. Thus the Real Property Act 1922 required that an action for recovery of land must be brought within the same time as if it were a legal claim, and the Trustee Act 1888 limited the time within which an action must be brought by the Limitation Act. The principal equitable claims so regulated are as follows:

- (i) Claim by cestui que trust to recover trust property or in respect of any breach of trust;
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(ii) Claims to the personal estate of a deceased person;

(iii) Claims to redeem mortgaged land.

(iv) Claim to foreclose mortgages of real or personal property.

(b) Application of the statute by analogy: where a claim is not expressly covered by any statutory period but is closely analogous to a claim which is expressly covered, equity will act by analogy and apply the same period. This is so not only where equity, exercising a concurrent jurisdiction, gives the same relief as was available in a court of law and to which there is a limitation period prescribed; it applies also where equity affords wider relief than available to a claim for damages for fraud or fraudulent breach of contract is applicable by analogy to a claim to account as constructive trustee.

(c) Claims outside statute. The principles which equity applies to cases not covered by a statutory period have been stated thus:

“Now the doctrine of laches in courts of equity is not an arbitrary or a technical doctrine. Where it would be practically unjust to give a remedy, either because the party has by his conduct, done that which might fairly be regarded as equivalent to a waiver of it, or where by his conduct and neglect he has, though perhaps not waiving that remedy, yet put the other party in a situation in which it would not be reasonable to place him if the remedy were afterwards to be asserted, in either of these cases lapse of time and delay are most material.”

12. Equity follows the law;

The Court of Chancery never claimed to override the courts of common law. “Where a rule, either of the common or the statute law, is direct, and governs the case with all its circumstances, or the particular point, a court of equity is as much bound by it as a court of law and can as little justify a departure from it. It is only when there is some important circumstance disregarded by the common law rules that equity interferes. “equity follows the law, but not slavishly nor always.”

13. Where there is equal equity the law shall prevail;

This maxim forms the basis of the rules on priority and can be contrasted with the maxim where the equities are equal the first in time shall prevail.

14. Where the equities are equal, the first in time shall prevail;

3. EQUITABLE REMEDIES

Remedies in Equity have 3 features

1. They are discretionary;

2. They act in personam

3. They are only granted where the common law remedy or damages are inadequate.

1. Discretion: the court will exercise discretion in some instances. The court will look at the conduct of the Plaintiff and on the basis of that it can refuse to grant remedy to the plaintiff. (he who seeks equity must do equity, he who comes to equity must come with clean hands, delay defeats equity). Equitable remedies are discretionary. Adequacy of the common law remedy. If it is found that damages at common law will adequately compensate the Plaintiff, equity will not grant a remedy.

2. Equity acts in Personam - the remedies are granted against a particular person, they are directed at a person.

Penn v. Lord Baltimore (1750) 1

In this case specific performance was ordered of an agreement relating to the boundaries of land in America, the defendant being in England. The court decreed specific performance of an English agreement relating to the boundaries between Pennsylvania and Maryland, despite the inability of the court to enforce its remedy in rem.

Richard West & Partners (Inverness Ltd) v. Dick [1969]

In *Gilligan v. National Bank Limited* - inadequacy of the common law remedy

Justice Barton said “a remarkable feature of equity is the ability and willingness of equity to grant elastic remedies which were not obtainable at law”. In this quote one can discern two characteristics of equity, discretion and granted in personam.

1. Specific Performance:

Specific performance is an order of the court requiring the Defendant to carry out his obligations under an instrument (contract) according to its terms. Specific performance is a discretionary remedy.

The general rule is that specific performance will be granted where the common law remedy of damages is inadequate. Equity will not interfere if damages will grant a Plaintiff full compensation. If damages will put the Plaintiff in the position he would have been in had the instrument been performed, equity will not interfere.

There are cases where the court will not grant specific performance even if the remedy of damages is inadequate. The court will consider special circumstance surrounding a case where the Plaintiff has been denied specific performance even though the damages are inadequate. The court will look into the conduct of the Plaintiff and this is done in the court's discretion. The decision whether or not to grant specific performance will be made by the court. This is the discretionary nature of equity.

That discretion however is to be exercised on well settled principles. There are certain rules in equity that govern the exercise of discretion.

Penn and *Richard West* are cases on specific performance where the courts acted in personum. The courts granted orders remedies in favour of the Plaintiff. Only the parties to a contract can sue or be sued for specific performance. If it is a land matter it is only the seller and the buyer who can be sued.

When does a third party become joined?

The general rule is that only parties to a contract can be sued or sue for specific performance. A third party can be enjoined in a suit for specific performance where it is shown that he was not a bona fide purchaser for value without notice i.e. when he has contributed to the breach by one party.

Ensuring Observance of the Court's Order for Specific Performance

Tito v. Waddell (No. 2) 1977

If the court cannot ensure that the order will be observed by the Defendant, then the court will not grant specific performance. (Equity does not act in vain) if the order cannot be enforced, specific performance will not issue.

Specific Performance is granted for the enforcement of positive contractual obligations. This means that for example in a lease, you find obligations on the part of the tenant and then there are the obligations to be observed by the Landlord so you find that the obligations of the landlord become the tenant's rights. Specific performance will only apply to positive obligations. For example, if the tenant is supposed to keep the premises in a state of repairs and is not supposed to sublet the premises, specific performance will issue to enforce the keeping of the premises in a state of repairs but will not issue to allow the tenant to sublet the premises.

The defendant is ordered to take positive steps to remedy a wrong or to do something that he has failed to do in law. Matters for specific performance are heard and determined before the specific performance is issued unlike an injunction which can be issued on an interlocutory basis. Section 16 of the Government's Proceedings Act Cap 40 Specific Performance cannot issue against the Government. One can only sue the government for a declaration but one cannot get an injunction or specific performance. The rule that an injunction cannot issue against the government is currently being challenged in court at the moment.

TYPES OF CONTRACT

1. Contracts That Are Specifically Enforceable:

There are certain kinds of contracts where it is recognized as a general rule that specific performance will be granted. These are the specifically enforceable contract.

(i) Contract related to land: This is the most common type of contract where parties apply for specific performance. It could be any type of contract as long as it relates to land. Land has a fixed location and no two pieces of land are alike, each piece of land is unique and special and it is thus accepted as a general rule in equity that damages will not be adequate compensation to a purchaser, a mortgagee or chargee etc. It is for this reason that we say that contracts related to land are specifically enforceable.

(ii) Contract related to Personality/Chattels - the rule is that the court will not grant specific performance unless it is shown that the chattel that is the subject matter of the contract is an article of unique value. The reasoning is that because the chattel is a rare commodity or unusual beauty etc damages will not be adequate.

There are several cases where courts granted specific performance because the chattels were of unique value.

Falcke v. Gray

Purchase of two china jars apparently worth 200 pounds

Thorn v. Commissioners. Of Public Works - subject matter of the contract was a stone from the Old West Minister Bridge in England which was deemed to be a very special item.

Philips v. Lamdin - the subject matter was a door in a house (Adam door) it was a door of unique value

Behnke v. Bede Shipping Co. It was a ship of unique and peculiar value to the Plaintiff.

Sky Petroleum v. VIP Petroleum

There was a contract in this case between the plaintiff and the defendant. Under this contract the Plaintiff was to buy all the petrol for its garages from the defendant and the defendant was to supply the plaintiff with all its requirements for the petrol. The defendant alleged breach and he purported to terminate the contract in November 1973. This was at a time when petrol supplies were limited. The result of this was that the Plaintiff had little prospect of finding an alternative supply of fuel. And so an interlocutory injunction was granted to

restrain the defendant from withholding the supplies of petrol. The judge in this case acknowledged that it amounted to specific performance. But the judge held that the court had jurisdiction to order specific performance of a contract to sell chattels even though they were not specific or ascertained where the remedy of damages was inadequate. Further the usual rule that specific performance was not available to enforce contracts for the sale of chattels was well established but it was based on the adequacy of damages and was therefore not applicable to the present case because in the present case the plaintiff might be forced out of business if the remedy was not granted.

The court in this case is looking at special circumstances since in 1973 petrol was scarce. The court could not order the defendant to pay damages as no amount of money would help the plaintiff who needed specific performance to force the Defendant to supply the petrol. It is the uniqueness of the case that made the court exercise its discretion in ordering for specific performance.

In *Cohen v. Roche* the article was an ordinary commodity of commerce and the court refused to grant specific performance. The articles in question were a set of 8 Hepplewhite Chairs. There was a contract to deliver specific or ascertained goods within the meaning of Sale of Goods Act Section 52 of Cap 31. the Court argued and said that these were ordinary articles of commerce and that damages would be adequate. Whenever one talks of adequacy of damages, one has to relate it to the discretionary nature of the court to order specific performance.

2. A Contract to Pay Money to A Third Party

The court has recognized if the court is to pay money to a third party, then discretion is called for

Beswick v. Beswick (1968) - two people in the contract and the contract was for payment of money to the wife of one of the parties. Case was unique because she was suing as an administratrix.

3. Contract to Secure Loan and Money Is Lent Before Mortgagor Executes the Mortgage Deeds

In a situation like this the mortgagee can obtain an order of specific performance ordering the mortgagor to execute the mortgage instrument. Usually the banks will rely on the loan agreement as there is a clause in the loan agreement that the mortgagor when called upon to do so shall sign the mortgage.

Where a contract is with a company to take up and pay for debentures (document by which a company acknowledges a debt) - this contract is specifically enforceable against the company.

4. Contracts That Are Not Specifically Enforceable

1. A Contract requiring constant supervision. Such a contract is not specifically enforceable because equity does not act in vain. The court will not grant specific performance if the contract requires constant supervision as it may be difficult for the court to ensure supervision. A case to illustrate this point is

Ryan v. Mutual Tontine Westminster Chambers

Some tenants had leased a block of flats with the term that there would be a resident porter with specified duties. But the porter got a job as a chef in a neighbourhood café and would delegate his duties to someone else not recognized under the lease. The tenants applied for specific performance but the court refused to make the order on the basis that supervision would be impracticable.

Building Contracts: the general rule is that specific performance will not be granted in respect of a contract to build or a contract to repair.

The court has however developed exceptions

If three conditions are met, then that building contract will be enforceable

In *Wolverhampton Corp v. Emmons*

1. The building work must be sufficiently defined by the contract and the way to do this is by having detailed building plans. If the builder has provided everything,
2. The Plaintiff must have a substantial interest in the performance of the contract such that damages would not compensate him for the defendant's failure to build. For example, according to Hanbury if the building is to take place on the Plaintiff's land, damages will normally be adequate. The reason is that the Plaintiff can always hire another contractor to complete the work and if there are any fluctuations in cost, that can always be recovered from the Defendant as damages.
3. The Defendant must be in possession of the land so that the Plaintiff cannot employ another person to build without committing a trespass.

When these 3 conditions are met, specific performance will then be granted.

Carpenters Estates Ltd. Explains *Wolverhampton*

5. Contract Involving Personal Skill Is Not Enforceable

The reason why this contract cannot be enforced is that the court does not have to decide in subsequent applications whether that contract has been properly performed. We are talking of a contract where a person is to give personal services. The court does not want to assume that burden because it is impracticable.

C.H. Giles & Co. Ltd v. Morris.

The court does not want to force a person to remain in the relationship of employer and employee when there is indication that they no longer want to continue with that relationship. According to Fry L.J. in the case of *Francesco V. Barnum* states "the courts are bound to be jealous lest they should turn contracts of service into contracts of slavery."

6. Contract Lacking In Mutuality/Contract Lacking Mutuality

The rule is that where specific performance is available to one party, it must also be available to the other party i.e. where it is available to a purchaser it will be available to the seller so that either party can sue or be sued. We say in this case that there is mutuality between the parties. Examples of circumstances where there is no mutuality is where in a contract one of the parties is a minor. The law is that specific performance cannot be ordered against a minor. There is no mutuality here. The minor cannot obtain an order of specific performance the case is

Flight v. Bolland

Incapacity to enter into contract. Where there is lack of capacity at the time of entering the contract, the contract will not be enforceable.

A type of contract that is specifically enforceable in part only, this means that there may be some matter that can be isolated from the contract (severance of the contract) and then specifically enforce them. One will actually be enforcing the contract in part. If those matters are dependent on one another then severance is not possible so the contract cannot be enforceable in part.

Ryan v. Mutual

Burnes v. City of London

Ogden v. Fossick

In this case an agreement was entered into between Fossick and Ogden that Fossick should grant Ogden a lease of a coal wharf at a certain rent, and should be employed throughout the tenancy at a salary of £300 pa plus a commission on the coal sold at the wharf. Although the first part of the agreement was typical of the kind of matter of which specific performance is decreed, this remedy was refused on the ground that it was inseparably connected with the second part of the agreement which was clearly of the kind of which specific performance is not granted. It is an a fortiori case where the term sought to be enforced by specific performance is merely an ancillary or subsidiary term of a contract, the principal terms of which are unenforceable by specific performance.

Frith v. Frith

In that some contract, some matters may be legal while other matters may be illegal. The legal matters can only be enforced if they are not dependent on the illegal matters but if they depend on one another the contract cannot be enforced.

Odessa Tramways

Severance General

Mohamed Hussein

D'Silva

Agreement without consideration

An agreement where the party has not provided consideration will not be specifically performed. Equity does not aid a volunteer. The exception is trust but the general rule is if not supported by consideration it cannot be enforced.

7. Defences For An Action For Specific Performance

Equity will hold the defendant to the enforcement of his bargain. The court will require the defendant to perform part of his bargain and can only depart from that rule in certain recognized instances. Essentially the recognized instance will act as defences.

The following are defences:

1. There is no effective contract; - this happens when the requirements of a contract or the prerequisites have not been met.
2. The absence of writing for land transactions. S. 3 (3) Law of Contract Act Cap 23 is echoed in this defence which is to the effect that in the case of land transaction, for there to be a proper disposition there must be a written memorandum on the contract. Until July 2003 there was an exception to the requirement of writing. The rule regarding that exception was that, if there was no written document but there was an oral contract coupled with part-performance, the interest in land could pass. Note that it is not just every type of interest in

land, there are some that are required by law to be registered. In case of leases, unless it is over 12 months under ITPA and 24 months under RLA, the law requires that the lease be in writing. Part performance can be constituted, transfers and mortgages need registration as well and therefore there must be a document in writing. That was the position until July 2003, there were two Acts that were passed through parliament one in 1990 and the other one in 2002. the Act passed in 1990 was Act NO. 21 of 1990 and Act No. 2 of 2002 they were both amending Section 3 so that for any matter taken to court in relation to a transaction regarding land, there must be a Memorandum in writing. Essentially the amendment reflected in two Acts. It does away with the doctrine of part performance so that when someone sues, the court will not accept the doctrine of part performance and there must be a Memorandum in writing. The Attorney General passed two Gazette Notices in November 22 2002, these were Legal Notice NO. 188 and Legal Notice NO. 189. By means of these two legal notices these two Acts came into effect and the commencement date was July 2003. The amendments have amended S. 3(3) Laws of Contract and go on to say that documents should be signed and who will witness the signing. This means that a Defendant can plead lack of memorandum in writing as a defence.

3. Conduct of the plaintiff: - Here the Court is saying that if the Plaintiff is guilty of some conduct that would disentitle him from getting his remedy. He who comes to equity must come with clean hands, he who seeks equity must be prepared to do equity or equity does not aid the indolent but the vigilant. The doctrine of laches is limited by Cap 22 and the maxim is that delay defeats equities, or, equity aids the vigilant and not the indolent.

4. Hardship: - The general rule is that where the Defendant pleads hardship, he may escape specific performance. The general rule is that the Defendant will be ordered to perform his part of the bargain even if it causes him hardship. The Defendant can plead hardship but there are rules as to what hardship the court will consider, it is not just inconvenience but hardship that amounts to injustice. If the hardship is that it will cause the Defendant injustice, it will accept the Defendant's Defence. There is a way of assessing the hardship. The Court will exercise discretion in giving specific performance

Patel V. Ali (1983) Ch. 283

This is a case where the seller and her husband were co-owners of a house that they had contracted to sell. The husband's bankruptcy caused a long delay in completion of the sale transaction for which neither the seller nor the purchaser was to blame. After the contract had been entered into, the seller got bone cancer and had her leg amputated. She later delivered her second and third children. The purchaser obtained an order of specific performance against which the seller appealed on the ground of hardship. She spoke little English and relied on help from nearby friends and relatives. Hence it would be hard to leave the house and move away.

The court allowed the Appeal stating that although a person of full capacity before the contract took the risk of hardship the court in a proper case could refuse to grant specific performance on the ground of hardship occasioned subsequent to the contract even if it is not caused by the Plaintiff and is not related to the subject matter of the suit. On the facts of this case, the court held that there would be hardship amounting to injustice and therefore the appropriate remedy was damages. This is sort of a locus classicus in specific performance. The other one being Sky Petroleum v. VIP Petroleum here the court granted a prohibitory injunction.

Hardship to either the Plaintiff or the Defendant

Warmington v. Miller

Mountford v. Scott

Hardship to a third party

Earl of Sefton v. Tophams

Sullivan v. Henderson

Watts v. Spence.

Is financial inability to complete a contract hardship sufficient to escape specific performance.

Financial inability to complete is not hardship.

Nicholas v. Ingram [1958] this case is of persuasive authority.

5. Fundamental Mistake: - The mistake may be of such a nature that it precludes the consensus ad idem that is required in every contract and such a mistake is a good defence to an action for specific performance.

Webster v. Cecil (1861) 30 Beav. 62

Parties agreed on a contract where the price was £2,250 but when the seller issued a letter he mistakenly wrote £1,250 which was not the purchase price. The seller gave notice of the error immediately he realized and so he was not compelled to specifically perform the contract. Defence of fundamental mistake was claimed.

Malins v. Freeman (1837)

The rule is that even if the mistake is that of the Defendant himself and not in any way induced by the Plaintiff, specific performance will be refused if its imposition would cause the Defendant hardship amounting to injustice.

In this case this Defendant bid for and bought one lot at an auction believing that he was buying a totally different lot. so when he was sued for specific performance, he pleaded hardship. He had bid for the wrong lot being drunk.

The court refused to grant specific performance, it accepted the defence of hardship, the court stated that intoxication of the Defendant when the contract is made is a ground for refusing specific performance even though it is not induced by the Plaintiff. It would have been a great hardship on him to compel him to take the property the court went on to say. The court here is looking at the total picture.

Contrast that decision with

Tamplin v. James (1880) 15 Ch. D. 215

This is a case where a purchaser agreed to buy some property at an auction in the belief that two pieces of garden plots at the back of the shop formed part of the purchased property. The particulars of sale and the reference plans exhibited at the auction described the property correctly. The garden plots were not included in the sale as they did not belong to the vendor even though they had commonly been occupied together with the property being auctioned. The property subject matter of the auction was an inn and a shop.

The defendant was acquainted with the property and knew that the garden plots were occupied along with the inn and shop. However, he did not look at the plans and agreed to buy in the belief that he was buying the inn and shop together with the two garden plots. The vendor brought an action for specific performance. The Defendant pleaded mistake as a defence.

The court held the Defendant to his bargain, he had a means of finding out the exact dimensions of the plots he was bidding for. Equity aids the vigilant. Specific performance was issued

Craddock v. Hunt

This case is to the effect that where the mistake is in the written record of the transaction the Plaintiff may obtain rectification and specific performance in the same action i.e. the court will be applying the maxim equity looks to the substance rather than the form.

There are two cases where the Plaintiff has contributed to the Defendant's mistake even if unknowingly

Denny v. Hancock

Wilding v. Sanderson.

- Where the mistake is that of the defendant, See the case of

Steward v. Kennedy/ Van Praagh v. v Everidge

- Where there is a unilateral mistake

Mountford v. Scott/ Riverlate Properties Ltd v. Paul

6. Misrepresentation By The Plaintiff

7. Misdescription

8. Lapse Of Time/Laches/Delay

9. Trickiness

10. Illegality

11. Defective Title

2. **Injunctions:**

Definition

An injunction is an order of the court directing a party to the proceedings to do something or to refrain from doing a specified act. It is granted in cases in which monetary compensation affords an inadequate remedy to an injured party.

1. *Prohibitory Injunction:*

2. *Mandatory Injunction:*

3. *Perpetual Injunction:*

4. *Interlocutory Injunction:*

5. *Quia Timet (Anticipatory)*

Prohibitory Injunction is restrictive because a person is prohibited or restrained from doing a particular act. A person can be ordered to refrain from continuing to do something if he may already have started to do the act. This is an injunction restraining the doing or continuance of some wrongful act. These injunctions are far more common than mandatory injunctions. Thus a court which wishes to secure removal of buildings wrongfully erected can order the defendant not to allow them to remain on the land, a form of order which seems strange in a jurisdiction which traditionally looks to substance rather than form.

Mandatory Injunction: This is an injunction to restrain continuance of some wrongful omission. A mandatory injunction is made in a positive form, ordering some act to be done.

Divided into

(a) Restoration Mandatory Injunctions require the defendant to undo a wrongful act, to restore the status so that the damage does not continue.

(b) Mandatory Injunction proper - this compels the defendant to carry out some positive act to remedy a wrongful omission.

If a contract is involved the plaintiff would be likely to go for specific performance. However the mandatory injunction has the same consequences.

Injunctions were all couched in the same prohibitive language for example a court order would sound like this “the defendant is hereby ordered not to allow the buildings to remain on the land” as opposed to the defendant is hereby ordered to demolish the building. The idea is to make it sound prohibitive. Snell made a comment that for a court of equity that concerned itself more with substance than form should be so concerned as to form.

Jackson v. Normanby Brick Co. [1899]1 Ch.438

Perpetual Injunction: A Perpetual injunction can be granted for the lifetime of the Plaintiff. The Perpetual Injunction is so called because it is granted at the final determination of the rights of the parties. It is not called perpetual because it will operate forever, perpetual relates to the fact that the court will finally settle the dispute between the parties. A perpetual injunction is granted only after the claimant has established his right and the actual or threatened infringement of it by the defendant.

Interlocutory Injunction: It is also called temporary it has cousins one of which is Interim and the Ex-parte.

An interlocutory injunction is granted before the hearing of the main suit or before the determination of the main suit. Its purpose is to maintain the status quo until the matter is finally determined. It is quite common in relation to land matters. An interlocutory (or interim) injunction is granted before the trial of an action; its object is to keep matters in status quo until the question at issue between the parties can be determined. Accordingly, the claimant may obtain it without making out a case which will necessarily entitle him to a perpetual injunction.

When the plaintiff is serving the main suit, he will also serve the defendant telling him that by the time the matter comes up for hearing, he will be making an application for an interlocutory injunction.

The decision that the court makes on that motion day i.e. when it decides on the interlocutory motion, it will not be based on the merit of the case but it is left for the main hearing of the main suit.

Ex parte Injunction is granted without hearing the other party. It will only last until the next motion day

An interim injunction on the other hand restrains the defendant until some specified date. After the ex parte injunction is lifted on the motion day, a plaintiff may apply for an interim injunction to last until a specified date and usually it does not last more than 14 days. This usually gives the defendant time to go and prepare the case.

Quia Timet: This type of injunction is granted to prevent a threatened infringement of the Plaintiff's rights. There are signs that infringement will occur but the rights have not been infringed yet. One applies for an anticipatory injunction (Quia Timet) in anticipation that some certain right is about to be infringed. This also occurs where the claimant has been fully recompensed for the damage already suffered but alleges that there is a risk that further damage may occur, as where the defendant has carried on operations on his land which imperil the stability of his neighbour's land.

For the court to grant the anticipatory injunction, the following conditions must be established.

- 1. The plaintiff must show a very strong probability of a future infringement.*
 - 2. The Plaintiff must show that the danger is imminent and*
 - 3. the Plaintiff must show that it will cause substantial or irreparable damage and that an award of damages will not be a sufficient or adequate remedy.*
 - 4. The Plaintiff must show that the damage will be of a most serious nature.*
-

As far as the injunctions are concerned, you can have more than one injunction

Can a Prohibitory Injunction be perpetual? Yes, it can

Can a Prohibitory injunction be interlocutory? Yes, it can

Can a Mandatory Injunction be perpetual? Yes, it can - when the defendant is ordered to demolish buildings, he is not expected to go back and build them so the Mandatory Injunction can be perpetual.

Can Mandatory be interlocutory? Yes, it can but rarely.

Can an Ex parte injunction be Prohibitory - Yes it can.

Can an Ex parte injunction be interim? Yes, to the extent that it lasts until a specified date.

Ex parte can be mandatory but rarely.

Interim can be mandatory - Yes it can, an interim can also be Prohibitory

PERPETUAL INJUNCTIONS

General Rules

The very first principle of injunction law is that *prima facie* you do not obtain injunctions to restrain actionable wrongs for which damages are the proper remedy. Thus no injunction will be granted where an illegal act has been done in the past but there is no intention of repeating it, or where the injury can be adequately compensated by money. But an injunction may be granted if an award of damages would be useless e.g because the defendant is a pauper, and many wrongs such as continuing nuisances or infringements of trade marks, demand more adequate relief than money. Moreover, a party to a contract has a right to its performance and not merely to compensation for breach and hence an injunction will be granted to restrain breaches of negative contracts, if, however, the parties have specified a sum as liquidated damages for breach of a negative contract, the claimant cannot recover both the sum and claim an injunction.

1. The Plaintiff must establish a right. If the party who seeks it has a cause of action which includes statutory as well as private rights of action justifiable before the court. This general rule cuts across the board that is in relation to other branches of law. This right can be a legal right or it can be an equitable right, if it is for mere convenience, the law does not recognize that.

In the case of *Day v. Brownrigg (1878) 10 Ch. D 294*. The Plaintiff lived in a House that he called Ashford Lodge. The Defendant lived in a smaller house that was called Ashford Villa. The Defendant changed the name of his residence and changed the name of his villa and called it Ashford Lodge. The Plaintiff was unhappy about this and he sued for an injunction to prohibit the Defendant from calling his house Ashford Lodge. The parties had lived next door to each other for a long time and the Plaintiff had used the name Ashford Lodge for 60 years. The court held that there is no legal or equitable right to the exclusive use of the name of a private residence. The court refused to grant the injunction.

2. Discretion: A party who establishes his right and its violation will be entitled to an injunction. Although the court has a discretion whether to grant or withhold an injunction, an order to restrain the breach of a negative contract may be obtained almost as of right. The court exercises discretion according to well settled principles in granting injunctions. In *Doherty v. Allman* the court refused an injunction to restrain ameliorating waste by a tenant under a lease with over nine hundred years left to run; Lord Cairns L.C. said: "if parties, for valuable consideration, with their eyes open, contract that a particular thing shall not be done, all that a court of equity

has to do is to say, by way of injunction, that which the parties have already said by way of covenant, that the thing shall not be done; and in such case the injunction does nothing more than give the sanction the process of the Court to which already is the contract between the parties. It is not then a question of the balance of convenience or inconvenience, or of the amount of damage or of injury-it is the specific performance, by the Court, of that negative bargain which the parties have made, with their eyes open between themselves." Thus, a purchaser who covenants not to carry on any trade, business or calling in the premises can be restrained by the vendor from opening a school there, even though the vendor would sustain no damage.

(i) *Nominal Damage* -The fact that the Plaintiff has suffered nominal damage does not mean that he should be refused a remedy. If the court decides that you have suffered nominal damages, the court will exercise its discretion to grant an injunction. Indeed, that the damage is trifling may be 'the very reason why an injunction should be granted.' *Armstrong v. Sheppard & Short*

Behrens v. Richards

In this case, the Plaintiff had sought to restrain members of the public from using tracks on the claimant's land situate on an unfrequented part of the coast, which use caused no damage. The court refused to grant an injunction.

(ii) *Compliance*: Where a party claims that compliance will be difficult or impossible, the plaintiff has established a violation of his right or has established damage but the defendant says that compliance is difficult or impossible. For instance, if you are talking of a situation where the defendant has wrongfully cut down the trees, it will not be effective for the court to allow an injunction not to allow the trees to remain lying on the ground (equity does not act in vain) compliance is impossible. Remedy will be suffered better by damages. *Attorney General v. Colney Hatch Lunatic Asylum [1868] 4 Ch. 146, 154.*

(iii) *Annoyance may have ceased*: If the annoyance has ceased before the trial or if it is just temporary and not intended that it ought to be repeated, the court can exercise discretion and refuse to grant the injunction. *Barber v. Penley and Wilcox v. steel*

(iv) *The defendant can give an undertaking*: the defendant will give an undertaking to the court to abstain from the acts that are complained of by the Plaintiff. This undertaking is equivalent to an injunction and if the defendant breaches the undertaking it is taken in the same way as a breach of a proper injunction or as contempt of court.

(v) *Order unnecessary*: An injunction may also be refused where the claimant has a remedy available in his own hands, e.g. by refusing to supply goods to defendants who are dealing with them in breach of contract.

3. Inadequacy of Damages: The courts have held that in certain circumstances damages will be inadequate and therefore the only remedy to grant is the Perpetual Injunction.

(i) *Continuing Nuisance* the nature of a continuing nuisance is that this annoyance will never cease. There is no way of stopping it. *Martin v. Nutkin* earliest reported case in perpetual injunctions. This is a case where the Plaintiffs were annoyed by the daily ringing of a church bell at 5 in the morning. The Parson of the church, the church wardens and others on behalf of the parish agreed to stop the ringing of that bell. They entered into an agreement with the Plaintiffs not to ring that bell during the lives of the Plaintiffs, as long as the Plaintiffs provided the church with a new clock and bell. The Church rang that bell in breach of the agreement and the Plaintiffs went to court seeking a perpetual injunction. The court granted a perpetual injunction because this was a continuing nuisance. Note this injunction is called perpetual but does not last forever, it last for the lifetimes of the Plaintiffs. Secondly the injunction was supposed to settle that dispute once and for all.

(ii) *Infringement of Trademarks* the case of *Licensed Victuallers' Newspaper Co. v. Bingham* (1888) 38 Ch.D 139 and the case of *Borthwick v. The Evening Post* (1888) 37 Ch.D 449

4. Conduct of the Plaintiff: if the plaintiff is guilty of delay, he will not get a perpetual injunction, if he has come to court with unclean hands, if he is guilty of acquiescence he will not get the remedy of injunction because his conduct is wanting. *Sayers v. Collier* an injunction to restrain the use of a house as a shop was refused by the court. The court said that the same Plaintiff had bought goods from that shop and now he wanted the shop restrained. He had acquiesced and his own conduct bound him. He who comes into equity must come with clean hands.

5. Locus Standi & Public Rights: The Attorney General can obtain orders for the protection of public rights. To what extent can the attorney general obtain an injunction to restrain criminal acts? *Attorney General v. Chaudhry* this is a case where a hotel was operating without a fire certificate and therefore posing a danger to the public. The Attorney General applied for an injunction against that hotel and it was granted. In the case of *Attorney General v. Sharp* an injunction was granted against an omnibus proprietor who had been refused a license to operate. The operator preferred to pay the fines and continue operating. The profits he was making daily were greater than the fines so the only way that the Attorney General could stop him was by means of a prohibitory injunction. In *AG v. Harris* there were two flower sellers who used to sell flowers illegally from stalls. They would be arrested, fined and they would be out and this continued. The Attorney General got tired and by the time he sought a Prohibitory injunction the defendants had 237 convictions between them and the only way to stop them was by means of a Prohibitory Injunction.

The attorney general is the protector of public rights, can an individual seek an injunction for violation of a public right created by statute?

There are 3 conditions that must be met

1. The individual must show that the infringement of the public right has infringed some private right;
2. The individual must also show that the infringement has inflicted special damage on him or her;
3. The individual must show that he or she is a member of a class for whose benefit the statute was passed.

The individual can obtain redress for infringement of a public right if they meet the 3 conditions.

Lonrho v. Shell Petroleum Ltd. (1982) A.C. 1973

Public rights are normally asserted by the Attorney General, as representing the public. A private person is entitled to sue in respect of interference with a public right if there is also interference with a private right of his, which case, however, does not depend on the existence of a public right in addition to the private. Lord Diplock in the above case said that there were two classes of exception to the general rule. The first is where on the true construction of the Act it is apparent that the obligation or prohibition was imposed for the benefit or protection of a particular class of individuals, as in the case of Factories Acts and similar legislation. The second is where the statute creates a public right (ie right to be enjoyed by all of those who wish to avail themselves of it) and a particular member of the public suffers particular, direct and substantial damage other and different from that which was common to all the rest of the public. A mere prohibition on members of the public generally from doing what it would otherwise be lawful for them to do is not enough.

Gouriet v. Union of Post Office Workers (1978) A.C. 435

The environmental act has opened up the opportunity even for members of the public where there is environmental damage. The rule of locus standi has been relaxed.

INTERLOCUTORY INJUNCTIONS

There is a major difference between perpetual injunction and the interlocutory injunction.

There are 3 principles that govern the interlocutory injunction:

1. The Prima facie Case
2. Balance of Convenience;
3. Irreparable injury

There is one main rule which applies in respect of Prima Facie case - a plaintiff has to show a prima facie case with a probability of success. If the court is in doubt it will decide the matter on a balance of convenience and in deciding on the balance of convenience the court looks at the irreparable injury.

- a. Right
- b. violation-success; that a right has been violated and that you stand a chance of succeeding;
- c. The Plaintiff must show a prima facie case for the violation of that right that is reasonably capable of succeeding.

If the court is in doubt it should decide the matter on a balance of convenience.

Doubt is as to whether the Plaintiff will succeed as the Defendant might also have a very strong case. Where the court is in doubt it decides on a balance of convenience. But for the court to do this it has to decide on irreparable injury. The essence of regarding irreparable injury is to show that the damage cannot be compensated in damages. The plaintiff has to show that if he doesn't get an injunction, damages in form of remedy will not compensate him. The test of irreparable damage is that damages are inadequate.

East African Industries Ltd v. Trufoods Ltd

East African Industries Ltd and Trufoods Ltd were and are still manufacturers of fruit drinks. East African Industries as the Appellant applied to the High Court for an interlocutory injunction wanting the court to restrain the passing off of the products of Trufoods Ltd as those of East African Industries. The Appellant claimed that Trufoods had changed the shape of its bottles. It had also changed the shape and design of the labels so that they resembled those of East Africa Industries and the intention was to deceive.

East African Industries were seeking for a perpetual injunction in the main case but in the interim they wanted a temporary injunction to sustain the status quo. The matter was first dismissed in the High Court where the Judge directed his mind on the labels and not the whole picture. This High Court Judge took Judicial notice that the majority of the customers for this product would be able to read English. The High Court Judge concluded that most people would be able to read English and not get confused. The judge concluded that East African industry was unlikely to succeed in the suit because no reasonable ordinary shopper would be deceived by the resemblance of the two bottles and therefore the application of the interlocutory injunction was dismissed.

East African Industries went to the Court of Appeal and Spry J. decided

"I think that a prima facie case has been shown but I am not prepared to say that the outcome is so certain one way or the other that the application ought not to be decided on a balance of convenience. An interlocutory injunction will not normally be granted unless the applicant might otherwise suffer irreparable injury which would not adequately be compensated by an award of damages." The High court and balance of convenience

The High Court held that the appellant co. would not suffer irreparable harm if an injunction was refused

After this case, under the English system, those rules have been expressed in a different way so that following the case of American Cyanamid the English courts coached a rule using different words. In this case the court held that we should not rely too much on the prima facie rule since it was so strict but should try and consider the serious questions to be tried.

The American Cyanamid case dealt with two companies that manufactured surgical sutures. Both companies were American companies but the defendant co. was about to release a surgical suture which the Plaintiff company claimed infringed its patent. Had the Plaintiff established a prima facie case with the probability of success? It was not a hard and fast rule that the plaintiff must establish a prima facie case. All the Plaintiff needed to prove was that there were serious questions that needed to be tried. In all cases dealing with patent matters the court must establish the matter on a balance of convenience. It was difficult to say for sure on the right of the parties and a balance of convenience was necessary.

What does it take to establish a prima facie case with a probability of success? It requires the court to go to matters of the trial. What is probability of success? What does he look for?

It was against this background that the American Cyanamid was decided. American Cyanamid was decided in 1975 and it has been argued that American Cyanamid varied the Prima facie rule. However, it has been argued that this new rule does not apply in Kenya.

Approval of the Cyanamid Rule by courts in Kenya.

There are other factors that the court considers other than prima facie and balance of convenience. For example, the case must not be frivolous or vexatious. This rule is intended not to harass the Defendant in a situation where the suit is futile or misconceived or is an abuse of the court process.

For us to say that a suit is not all of the above, we must show that it is serious.

The court looks at the conduct of the parties

There may be conditions and undertakings. The court can grant an interlocutory injunction with conditions. The court can also ask one of the parties to give an undertaking usually the Plaintiff is asked to give the undertaking in damages. i.e. a certain sum must be pledged to court so that if the Plaintiff is not successful, they can pay the Defendant damages. The effect of not honouring an undertaking to the court is contempt of court.

Case Law - where these rules have been applied.

BAT (K) Ltd v. Cut Tobacco - East African Industries v. Trufoods decision.

Simon Waiharu Chege - the court used prima facie standards.

Woodcrafts Ltd v. East Africa Building Society - Justice Ringera used the prima facie case standard.

Central Bank v. Uhuru Highway Development Ltd - the court emphasized balance of convenience indicating a shift towards American Cyanamid.

Defences For Interlocutory Injunction

1. Delay
 2. Acquiescence
 3. waiver
 4. Hardship
-

5. Conduct of the Plaintiff.

3. RECTIFICATION

Definition

Rectification is an equitable remedy that is normally granted in a situation where a written instrument does not accord with the true agreement of the parties. If by mistake, a written instrument does not accord with the true agreement of the parties, equity has the power to reform or rectify that instrument so as to make it accord with the true agreement.

What is rectified is not a mistake in the transaction itself (the agreement or contract), but rather a mistake in the way which that transaction has been expressed in writing. If for example the intention or the agreement is agreed at 1.5 million as the purchase price, if the document shows a different price of 150,000 what is being rectified is the way the agreement has been translated in writing.

The mistake that has been analysed in the case of Mackenzie, where it was stated that ‘courts of equity do not rectify contracts, they only rectify instruments purporting to have been made in pursuance of the terms of the contract.’

Whiteside v. Whiteside

Evershed M.R. stated that Rectification is a discretionary remedy “which must be cautiously watched and jealously guarded.

The rules are strict and the courts are hesitant to give rectification remedy.

For remedy of rectification to apply there must be:

1. **Absence of an alternative remedy rectification will not be granted** e.g

- (a) addition in instrument-collateral contract
- (b) parties voluntarily agree to rectify instrument;
- (c) obvious clerical, typographical or grammatical error- court corrects as a matter of construction.

2. **Mistake.**

Parties must show final and genuine agreement and that the instrument failed to record it. Oral evidence is admissible to prove agreement. In order to show that the written instrument does not reflect what the parties agreed on.

Remedy exists to correct, not improve instrument.

Gross Mistake - can be

- Common mistake - common to both or all parties to the instrument - rectification will be granted as a general rule.
- Unilateral mistake - one party incorrectly records a term of the agreement; term is accepted bona fide by the other party.
- The general rule is no rectification.

Exceptions

- Fraud
-

- Estoppel - there is no deliberate intention to defraud but the mistake is not brought to the attention of the other party.
- Equitable election - *Paget v. Marshall* (1884) 28 Ch. D - the court puts defendant where he has to choose rectification or rescission.
- Unilateral transactions e.g. Deed Poll.

Riverlate Properties Ltd v. Paul

Roberts & Co Ltd v Leicestershire

Burden of Proof of Mistake

Very high standard of proof. Strong irrefragable evidence, strong unshakeable evidence with a high degree of conviction

There must be evidence of the clearest and most satisfactory description that will establish the mistake with a high degree of conviction and leave no fair and reasonable doubt that the deed does not embody the final intention of the parties.

Difficult in particular circumstances se.g.

- Passage of years - *Fredensen v. Rothschild* - lapse of over 33 years. Held: Time begins to run from discovery of mistake
- Where the Plaintiff is a solicitor who drafted the instrument: *Ball v Storie*

Examples of instruments that the court will rectify

- Mercantile documents e.g. policies of marine insurance. *Mackenzie v. Coulson*
- Bills of exchange
- Transfer of shares forms
- Conveyancing documents
- Consent order (agreement inter parties)
- Land Register - RLA Cap 300 Section 143 - deals

Instruments that will not be rectified

- Memorandum and Articles of Association of a company. These have provisions stipulating how they are to be altered or amended.
- A Will cannot be rectified except for fraud; where there is not fraud - a codicil is prepared.
- The Constitution. There is a special procedure for amending the constitution and courts cannot do that
- Acts of Parliament - have a procedure for amending them;

Rectification Defences;

There are certain defences that can be pleaded by the defendant against an order to rectification

1. Contract no longer capable of performance - Equity does not act in vain. (for example where the subject matter is destroyed i.e. vegetables have perished or goods lost at sea)
 2. It cannot be granted to the prejudice of bona fide purchaser for value without notice: *Smith v. Jones*.
 3. Laches or acquiescence: *Beale v Kyte*
- Carelessness of P is no defence, only increases burden of proof of mistake but cannot be used as a defence to defeat a claim of rectification –

Effect Of Rectification Order

- No new document needs to be executed;
- Copy of court order endorsed on instrument being rectified;
- Decree has retrospective

4. Rescission

This is a right to rescind. The right is available to a party to a transaction to set that transaction aside and be restored to his former position. It is not strictly a judicial remedy. Rather, it is effected by the act of the party entitled to rescind. However, it is still a remedy to the extent that the assistance of the court is usually required to determine whether a party can rescind and also obtain restitution of property handed over pursuant to the transaction.

It is an equitable remedy since only a court of equity could do what was necessary to make restitution.

The plaintiff whom the court has decided has right to rescind has to take steps to rescind the contract. All the court rules is that a party is entitled to rescind but does not order a particular contract rescinded and this is why we say that it is not strictly a judicial remedy, though one still requires the assistance of the judiciary to rescind. This is important if property has changed hands as the only way that the property can get back is to get the court to rescind the contract. The assistance of the court is important.

Rescission can be seen in different senses.

1. Strict Sense. The contract contains an inherent cause of invalidity. This is a remedy that will arise where the contract contains an inherent cause of invalidity such as mistake, validity, lack of consent that makes the contract voidable at the suit of one of the parties. If and when that party declares his intention not to be bound by the contract, he is said to rescind it.
2. Loser Sense: Includes one of the options which the innocent parties may have where a perfectly valid contract is broken by the other party. It is a perfect contract and had each party done their part should have been concluded but where one party has broken his part of the bargain (repudiation).

WHY RESCIND?

A party may rescind a transaction due to the following.

- a. Fraudulent misrepresentation:
-

The party may have been induced to enter into a contract by fraudulent misrepresentation. A fraud is proven when it is shown that a false representation has been made knowingly or without belief in its truth or recklessly or carelessly whether it is true or false. That false statement must have been made with the intent that it should be acted upon and it must have actually been acted upon by the other party.

b. Innocent Misrepresentation:

A misrepresentation is innocent if the defendant believes in the truth of his assertion even if he has no reasonable ground for his belief. See: *Derry v. Peek* (1889 14 A.C. 337). The misrepresentation is also innocent if the defendant once knew the true facts but has forgotten them. See *Low v. Bouverie* (1891) 3 Ch. 82 and *Hedley Byrne v. Heller* (negligent misrepresentation)

c. Constructive Fraud:

Gifts and bargains procured by undue influence and unconscionable bargains may be set aside by the victim. Constructive Fraud may be implied in two circumstances: It is for the court to interpret the circumstances and to declare that there is fraud. There are two fine distinctions.

(i) Undue Influence: This is where the person who agreed to enter into the contract was induced to do so because of the special relationship existing between him and the other party to the contract. Special relationships in which undue influence is presumed by law include the following: parent and dependent child, religious adviser and disciple, advocate and client, doctor and patient and trustee and beneficiary. The courts have laid down rules as to when undue influence will be presumed by the court. There is a presumption of law about relationship between a child and parent. A parent has influence over the child. Religious adviser and disciple, trustee and beneficiary.

(ii) Unconscionable Bargain: This is where one of the parties has a great advantage over the other party such that the contract entered into is unconscionable. This will occur where the party who is at a disadvantage is, for example, illiterate, unskilled or has no experience in the area in which he contracts. Where one party is at a disadvantage, i.e. from being illiterate, lack of skill etc. for example when one buys a car, if one is not conversant with the workings of a car one is disadvantaged if dealing with a dealer. The starting point is that once a bargain always a bargain.

When can a bargain be said to be unconscionable? No principle appears to exist to decide what is unconscionable. It is a question of whatever shocks the conscience of whoever is deciding the case.

2. By impossibility of "restitution in integrum":

A contract liable to be rescinded is generally valid until set aside, i.e. it is voidable. A contract may cease to be capable of being set aside or rescinded where the parties cannot be restored to their original position.

3. After completion:

Innocent misrepresentation gives no right to rescind after completion. If it is contract for the sale of goods, the right is lost after the goods have been accepted as was held in *Long v. Lloyd* (1958) 1 WLR 753

4. By Intervention of third parties:

If the third party is a purchaser, the right is lost if such third party has acquired rights there-under for value without notice.

If the third party is a volunteer, the right to rescind is not lost.

Effect of Rescission

A person who rescinds a contract is entitled to be restored to the position he would have been in had the contract not been made. Property must therefore be returned, possession given up and accounts taken of profits or deterioration. However, NO damages are recoverable.

Uberimae Fidei

Contracts of utmost good faith like insurance. Contracts that require full disclosure. Non-disclosure where full disclosure is required gives a right to rescission.

Misdescription: if a property is misdescribed equity cannot act in vain by allowing a contract that contains a wrong description of property. The right to rescind can also be a term of contract itself.

Limits to the use of the right or Rescission

1. A vendor can claim that he was not able to secure a title to the property: he is supposed to ensure that at the time he sets to enter into a contract with the other party, he must have the title and should do everything possible to have the title. He will be compelled to do what is required.
2. If a judicial decision has been used against him such as specific performance, the seller cannot purport to rescind the contract;
3. If the payment of purchase price is by way of instalment, if the buyer delays in remitting a certain instalment, the delay does not entitle the seller to rescind the contract.

The loss of the right as opposed to the limits

One can lose the right if they acquiesce, waiver, delay and laches - equitable principles can be applied to say that the party has waived their right under the contract and they thus lose the right to rescind the contract and must be compelled to complete the contract.

Affirmation - if the representee affirms the contract by express words or act, which shows an intention to affirm it, then the right to rescind the contract is lost:

The right to rescind a contract will be lost by impossibility of restitution in integrum - parties are not able to go back into the state they were in before the contract was entered into. It is impossible to take them to the original position. Where parties cannot be restored, there cannot be rescission. It may well be that circumstances have changed that it may well be impossible.

After completion of the contract, the right to rescind ceases to be available. Long v. Lloyd pronounces that in a contract for the sale of goods the rights is lost after the goods have been accepted.

There are rules that govern when completion of a contract takes place. The contract itself will stipulate when completion takes place.

Right to rescind can also be lost if there is intervention by 3rd parties. Where a 3rd party has interest in the property, (bona fide purchaser without notice) the original two parties to the contract will lose right to rescind. If the 3rd party has paid valuable consideration equity recognizes the bona fide purchaser for value without notice.

Where rescission has taken place, damages will not be recoverable. If there were any profits accruing, accounts will be taken; if any deterioration has taken place the court will take notice and decide who is responsible for the deterioration.

Workers Trust and Merchant Bank Ltd

The privy council held that only 10% deposit was to be forfeited if rescission arose.

If the seller decides to resell the property

Dojap Investments Ltd [1993] 2 WLR 702

Equity mitigates the harsh common law position of requiring that the purchaser forfeits the deposit money whatever amount but equity will only demand that only the required 10% be forfeited.

Multiple Remedies

A Plaintiff may in his suit pray for more than one remedy: See

Abdul Karim Khan v. Mohammed Roshan [1965] EA 289

The Appellant sued the Respondent on an agreement in writing whereby the Respondent agreed to sell to him an undivided half share in a property for a price which he had paid. Subsequently, the respondent charged the property to a company and refused to complete the sale. The Appellant claimed specific performance of the agreement, damages for breach of the contract, rescission and a return of the money paid, in alternatives.

The court held it was quite in order to put all the reliefs in the alternative. It would have been invalid had he claimed the remedies together.

Rescission is an equitable remedy and the court has discretion to grant it.

5. REMEDY OF APPOINTMENT OF RECEIVER/ RECIEVERSHIP

This remedy is purely equitable in origin. The receiver's main function is:

To collect and preserve income,

To protect property which is in danger,

To enable a person, obtain the benefits of his rights over a property,

To obtain payment of his debt, where the legal remedies are inadequate.

He may be appointed in a variety of cases e.g. by the court as an interim measure of protecting property that is in dispute.

Outside the court where there is a statute that gives a particular entity the power to appoint a receiver. In the case of mortgages and charges you have the RLA and the ITPA granting the mortgagee or chargee the power to appoint receivers. The CBK Act gives authority to CBK to appoint a receiver where a commercial bank is floundering.

Appointment outside the court can be by contract. A mortgage or a charge as contracts provide for the power to appoint a receiver. A debenture is another document that will contain a power to appoint a receiver.

There are certain advantages that accrue from the appointment of a receiver.

1. The receiver is supposed to protect the property and safeguard the security of the creditors and debenture holders. He will determine who gets paid first.
 2. Expert monitoring of the company's management and trading activities. The trouble may be that the receiver may not have the expertise in the field of that company and it is up to him to hire the necessary experts.
 3. He makes a rapid assessment of the company's management and trading activities.
 4. He sells the business or viable parts of it as a going concern and obtains a higher price than that which would be obtained in liquidation of the company.
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DISADVANTAGES

1. If a business is insolvent, there will be extra burdens, especially if there is no hope of recovery for that company.
2. The staff that the receivers come in with may not have the expertise about the business that the company is involved in. It is absolutely important that if a receiver knows he does not have the expertise to get the necessary expertise to assist in management of the company.
3. The reputation of the company in receivership suffers greatly. The suppliers do not want to deal with the company due to the negative publicity. This can hamper the efforts of the company to actually recover.
4. Even when it is a going concern, the sale as a going concern will fetch a less amount than what the company would have received had it been a going concern before being put into receivership. When a property is sold via a public auction, the property ends up going for less than the market value. Nobody wants to buy the assets at their real market value.

A body corporate cannot be a receiver and neither can an undischarged bankrupt.

Appointment By Receiver By The Court

Done where the company is being wound up and the security is in jeopardy.

RECEIVER & MANAGER

STATUS OF A RECEIVER APPOINTED BY COURT

This receiver is not an agent of the company, he is not even an agent of the debenture holder, instead he is an agent of the bank.

This receiver is an officer of the court and not an agent of any of the parties.

If he makes any contracts he is personally liable but he will be indemnified by the assets of the company.

Since he is appointed by the court, he cannot sue or be sued without first going to the court. Novation, the rule is that the receiver is not liable for any acts of the company that existed before he became a receiver. However, this receiver can be liable by novation - a special document where someone accepts to take on some certain responsibilities.

Newhart Developments v. Co-operative Commercial Bank [1978] Q.B 814

The receiver's remuneration is fixed by the court either by way of salary or an agreed percentage of his receipts. Receivers rank as unsecured creditors right down the list.

Appointment Of Receiver Outside Court

1. Debenture Holders - There may be reference to a floating charge where some interest of a lender is identified by means of a floating charge but without isolating any particular goods but the minute the company goes into receivership the debenture crystallises. The debenture holder will appoint a receiver where there is a specific provision in the debenture that gives power for the appointment of receiver. The receiver Has To Notify The Registrar Of Companies About His Appointment So That The Registrar Can Indicate This In The register. The receiver must notify the registrar to notify the entire world that anybody dealing with that company is deemed to have notice that the company is under receivership. A receiver appointed by a debenture holder, he becomes the agent of the debenture holders and the debenture holders are liable as principals to whatever contract the receiver gets into. Since a receiver appointed out of court is a mere agent, he incurs no personal liability for acts properly done by him as a receiver.

However, in the case of a receiver of the property of a company, the Companies Act provides that the receiver is to be personally liable on any contract entered into by him in the performance of his functions to the same extent as if he had been appointed by the court. The receiver is not personally liable on existing contracts unless he accepts them by novation. But he has duty to ensure that if the contracts are profitable, they are performed fully and profitably.

Where a receiver is appointed out of court, the employees are not automatically dismissed and their contracts remain intact and inoperative.

Effect Of Appointment

Floating charges crystallize and become fixed.

The directors' powers are suspended

The company cannot deal with the assets charged without the receiver's consent.

It does not prevent a director from pursuing an action on behalf of the company if the debenture holder's interests are not thereby threatened.

Statement Of Affairs

The company is supposed to submit the statement of affairs. Section 351 of the Companies Act provides that where a receiver or manager of all substantially all of the property of the company is appointed, he must give notice forthwith to the company.;

- (i) Past and present officers of the company
 - (ii) Persons who have participated in the formation and management of the company at any time within one year of the receiver's appointment
- Once the receiver gets the statements, he is supposed to send them to the
- (i) registrar and to the court, a copy of the statement together with the comments.
 - (ii) He is supposed to give the statement of affairs to the company and in addition he has to give his own comments derived from his own observation as an expert.
 - (iii) The statement also has to be given to the debenture holder.

RULES

The receiver has to forward to the registrar an abstract showing what he has received from the contracts that the company has undertaken. The receipts and the payments cover 12 months. At the end of one year, the receiver has two months to show what he has received, and what he has paid out. If he does not disclose within this period, it becomes a criminal offence. This is an ongoing thing, they are receipts that are made periodically and every time he receives from trading with the company's assets, where there are costs to do with valuation, where there are costs to do with advocates i.e. certain expenses association with realization will have to be paid first. If the receiver has incurred a liability the money must be used to indemnify him.

Finally, the principal and debts due under the debenture debt.

A receiver can exercise his freedom and to leave, he has to notify the registrar or seek directions to the court. The company if solvent will revert to the shareholders but if the company is still insolvent, he must inform the

registrar to commence the winding up process. A receiver can also be removed by the court upon the application of an interested party.

He can also resign by giving notice to the court, the registrar and the debenture holders.

The essence of receivership is such that it can be compared with a very morbid situation as by the time a company goes under receivership, it has moved from walking freely and has gone into hospital and things have not worked, admitted but things have gotten worse, moved to HDU and on to ICU where it needs life support. The life support by a receiver of his team but if all fails, the company will be consigned to the morgue or be liquidated.

Essentially by the time the bankers appoint a receiver, they will have given the company many chances and debts will have been rescheduled and the company will have failed to honour its obligations.

Excerpts concerning receivers

Excerpt by “failing firms keep receivers in business.”

DECLARATION:

This is a pronouncement by the Court regarding the rights of a party to a dispute or transaction. The court declares these rights, hence the term declaration.

Today one individual can sue another seeking a declaration.

Exception in Cap 40 - The law is set to change because there was a landmark case that was decided last week where the High Court Judge handed a decision the effect of which firstly it he said it is possible to grant an injunction against the government. In the case of High Court Misc Civil Application No. 1609 of 2003 and it was by way of Originating Summons in the matter of Samuel Pipo Limet. This matter deals with the Children's Act and is between Marie Elizabeth Christian Adelaide de Brouwer V. the Attorney General as the Respondent. This case involved a deportation order that was issued by the Minister of State and the Applicant brought an originating summons seeking the following prayers. An injunction to restrain the defendant from executing the deportation order. The prayer in the O.S. were for the following

1. Injunction to restrain the Defendant from executing a deportation order
2. Declaration that the deportation order was illegal and a threat to the rights of the child.

The Applicant also filed a Chamber Summons seeking an interlocutory injunction to restrain the defendant/respondent from executing the deportation order until the main suit is heard and determined.

The O S is seeking a perpetual injunction by the chamber summons is seeking an interlocutory injunction to restrain the Defendant. The Interlocutory Injunction was granted because the Respondent did not answer to the Chamber Summons Application.

The case is interesting for having set the rule so far that it is possible to obtain an injunction against the government. (this case was under the Children's Act).

An appeal cannot be sustained regarding the interlocutory order has time to appeal has elapsed.

The position in England is that the power to make a declaration is now statutory though it emanated from equity. See **Chapman v. Michaelson [1909] Ch. 238**

Jubilee Insurance Co. v. John Sementengo

Facts of the case.

The issue arising from this case is whether the insurance company has the right to seek a declaration that an insurance that has been obtained through non-disclosure of facts and misrepresentation. The crux of the matter was that under the insurance policy John Sementengo answered the two questions one in the affirmative and the other one none and when asked to give a record of any accident he said none while the lorry had been involved in an accident.

Non-Disclosure

Is the vehicle at present in a thorough state of repairs Yes - Misrepresentation?

Give record of accident and or loss during the past five years in connection with any motor vehicle owned or driven by you, None. None disclosure.

Sementengo is saying the suit is premature and that the insurance should wait until there is an action asking insurance to pay. The insurance company has every right to file a suit for a declaration before any case is commenced and that it can avoid a policy.

One seeks a declaration in respect of diverse issues, not in relation to a particular matter but in many issues although there some limits as to what kind of rights will issue.

Matalinga & Others v. A-G

1. Kenya Clinical and Medical Association seeking a declaration or fighting for the rights of categories in the medical profession.

Was this the kind of dispute that could be entertained by the court of equity

Was the allegation that the seemingly different treatment of medical officers insofar as the salaries were concerned unconstitutional?

A mandatory injunction cannot issue to a Government official and therefore could not be made against the defendant.

Is there a right that people can entertain to say that one category of officers are as good as the qualifications of another category of government officers and therefore the two categories are entitled to the same salary.

The court can grant a declaration in respect of unconstitutional discriminatory treatment but in Matalinga's case no such discrimination was alleged.

They are not seeking a declaration in respect of any legal rights.

What is the law that applies in Kenya vis-à-vis the contract of employment? In relation to the law of contract, a contract of employment is that one exercise the freedom to contract and having signed that contract one has a duty to fulfil the contract. You sign a contract you are bound by it.

A mandatory injunction cannot issue to a government official and therefore could not be made against the defendant but in the light of Ojwang and his case of issuing an interlocutory injunction against the A.G.

ACCOUNT

Defendant is being called upon to give an account as to how he has utilized some funds entrusted to him etc. when the suit is filed for an account, the defendant has certain defences,

The defendant can say they have agreed, struck a balance etc. that defence of settled account can be rebutted and the defendant will still be required to account. The court can order a re-opening of the account if there is fraud or a mistake that is so fundamental to the process.

On the other hand, instead of the court giving an order that the settled accounts be opened, the crux is when the court says surcharge or falsify.

Reopening of settled account

This is ordered if there is fraud. But note that even if there is no fraud but there is something else, there is a fiduciary relationship between the plaintiff and defendant the court will reopen the account. When there is a fiduciary relationship the standard of very high.

Liberty to surcharge or falsify will be ordered where there is no fraud and there is no fiduciary relationship but there is a mistake which suggests that the standard is a bit lower. Here we are saying that there was a credit due to the plaintiff's favour which was not taken into an account and so it should be surcharged and given to him.

On the other hand, where the defendant was erroneously given some money that he was not supposed to have the court will say that the account was falsified and will order a refund.

Delay is a rule that applies across the board in equity.

When talking about justiciable issues, or the kind of rights that will be recognized by the court of equity for a remedy to be granted equity will not suffer a wrong to be without a remedy, *ibis jus ibis remedium*.

In the case of Matalinga, this kind of assumption is unwelcome, there is not share for this kind of claim in equity. Matalinga is saying that not all wrongs can be remedied. There is technical equity that determines when a remedy is to be granted.

Do I understand the limits to application of equitable maxims?

APPLICATION OF EQUITY IN KENYA

The formula for the general reception of Equity and the English common law, doctrines of equity and statutes for general application in Kenya contains a date of reception. That date is stated in section 3 (1) (c) of the Judicature Act Cap 8.

It provides that:

But the common law doctrines of equity and statutes of general application shall apply so far only as the circumstances of Kenya and its inhabitants permit and subject to such qualifications as those circumstances may render necessary.

The significance of date of reception - any modification of English law must be incorporated in Kenya. But note exceptions in Law of Contract Act Cap 23. The reception date itself acts as the limit of application of English law in Kenya. Some interpretation has been given that there may be some statutes in Kenya which when they were enacted did not build in the limitation e.g. the Law of Contract. Law of contract is the exception rather than the rule that we can apply post 1897 English decisions in our courts.

Note therefore that if we are saying that the 1897 Laws have not changed as at 2004, then English decisions relating to those rules will be in a sense binding on us in terms of principles under the doctrine of precedent. Even where the English decisions have changed the 1897 decisions, lawyers will still cite the new position to persuade the court and we do not entirely disregard post 1897 decisions.

The reception clause where the words equity or doctrines of equity is used is to be interpreted in a technical sense. Technical equity is different from ordinary meaning of equity which is fairness.

Judicature Act Cap 8, Laws of Kenya Section 3

How equity became law of the received law of Kenya from England.

The earliest provision that received law into Kenya was the East Africa Order in Council of 12th August 1897. The Reception clause was contained in this clause.

The reception clause therefore refers to the provision by which English law became part of Kenyan law. Section 3 (1) provides that the jurisdiction of the High Court, Court of Appeal and of all subordinate courts shall be exercised in conformity with The constitution, The procedure and practice observed in courts of justice in England at that date - this phrase explains why our courts carry out their business the way they do, horsehair, wigs, address etc.

There is however a proviso to Section 3(1) (c) but the common law doctrines of equity and statutes of general application shall apply so far only as the circumstances of Kenya permit and subject to such qualifications as those circumstances may render necessary

3(2) is regarded as the repugnancy clause and says that the High Court and all subordinate courts shall be guided by It is not the repugnant clause.

Ordinary meaning of equity creeps in where we talk of equity “justice and morality” ‘substantial justice’ technicalities of procedure’. All these words go towards ordinary meaning of equity. *Lolkilite Ole Ndinoni Case* - limitation of customary practice.

Who decides what is just and moral, who decide that an African custom is repugnant? Judge, based on what? His own personal views of what is just and moral? One can only lay down guidance. Ordinary equity creeps in where judges are influence by their own values of equity in their own sense.

What is the significance of the repugnancy clause and how does it relate to equity?

Application of African Customary Law. this sub section provides some limitations when applying African customary law.

Limitations to the Application of Equity in Kenya

To what extent is equity applicable in Kenya?

The reception date acts as a limit.

The proviso to para C the

1. *Circumstances of Kenya*

2. *And its inhabitants* will also limit the application of doctrines of equity in Kenya.

3. Customs.

If there is an applicable equity will not intervene to apply. The custom will prevail over equity.

Illustration: Benami custom of the Muslims

Busaidi v. Busaid - case concerning a widow who father left her some property when he died. She asked her husband and her brother to manage the property on her behalf. The profits from the investments in these properties were banked in some account one of which was held by her husband in his own name.

According to Muslim Sharia Law the wife was supposed to get a quarter and her brother in law 3 quarters.

Brother in law tried to use the doctrine of advancement which is to the effect that when you have a spouse giving the property to another property is an advancement which is a gift. The brother in law wanted the court to declare that what the husband has was his as a result of the advancement by the wife.

Ria lodged a claim for an account. Dissect the accounts and remove what is mine. The court upheld the Islamic Custom. Muslim law was applicable in this case and it was wrong to use principles of equity in order to import the presumption of advancement in Zanzibar. The court held that the cultural background of Ria and her husband was different from that in England and therefore the Muslim Benami Custom would apply. Here the court ordered an account that all the funds that were in various accounts and all the properties given to Ria by her father should be accounted for and given back to Ria and the remainder of the husband's estate to be divided as the Muslim Law with Ria receiving her quarter.

4. Applicable statutory law limits equity

If there is a Kenyan statute (local legislation) that will oust the application of equity which takes us back to Section 3(1) (a) and (b) (a) gives preference to the Constitution and (b) all other written laws. If there is a written law that is applicable to the matter in question then equity does not apply. (Equity follows the law).

The Kenyan statutes which constitute local legislation oust the application of equity.

Wakf Commissioners Ordinance

The understanding under Wakf is we have a situation where a Muslim has died without heirs, not even a widow. The Wakf commissioners specially appointed to serve as trustee who are supposed to hold the property on behalf of the Muslim community. They are to hold the property to the service of God. The public trustee is using the legal doctrine and is saying that the residue of the estate should go to the wife.

The section 18(1) of Wakf Commissioners Ordinance which was to the effect that the remaining portion after the widow's quarter should go to Wakf.

Court held that equitable principles were excluded by yet another section of the Mohammedan Act. Section 4 to be precise.

Local legislation can oust the application of equity.

Our Limitation of Actions Act Cap 22 - constitutes a limitation by local legislation. The import of this Act is to let you know that there can be no remedy after a certain time. Equity with doctrine of Laches has no place where the statutes define the limitations of actions. (equity follows the law).

AFRICAN CUSTOMARY LAW

It is equity that is limiting the application of customary law under the repugnancy clause. By virtue of reference to justice and morality which refers to the ordinary meaning of equity.

How has equity qualified application of African customary law in a civil case? Refer to Lolkilite Ole Ndinoni. Equity limits the application of African Customary Law.

Other situations that stand to be challenged by equity as being repugnant to justice and morality

1. Infant betrothal;
2. Child marriages, cradle snatchers; school girl marriages;
3. Arranged marriages- no consent.
4. Widow inheritance; note the provision in Section 13(1) of African Christian Marriage and Divorce Ordinance: "Any African woman married in accordance with this ordinance... shall not be bound to cohabit with the brother ... of her deceased husband. Task force on law relating to women went out to the villages with medicine telling women in the villages that wife inheritance is bad. But the village women said they were not complaining.

This in old days had a decent meaning the idea was about society taking care of the widow and the orphans. This means that if the widow has no problem with being inherited, then there is no problem.

5. Female Genital Mutilation (FGM) - Parliament has found it difficult to make this practice illegal and the only way they can eradicate this practice is by criminalising it. It is difficult to just legislate against this practice. The only extent to which parliament has gone is to pass a legislation to outlaw FGM in the Children's Act there is a specific provision outlawing FGM in children.

6. Prohibition of marriage of the last born girl;

7. Cattle Rustling;

8. Woman to woman marriages;

9. Prohibiting girls from inheriting;

10. Widow cannot inherit husband's property;

11. Return of girl to parents for lack of payment of dowry;

12. Exorbitant dowry;

13. Girls born out of wedlock-custody of step father, where no dowry had been paid for the deceased's wife the children are taken away from their father;

14. Blood money;

15. Night-running, sorcery, witchcraft;

16. Killing twins.

17. Human sacrifice;

18. Cannibalism;

19. Keeping/worshipping of snakes

20. Wife beating - things fall apart - okonkwo-ekwefi

21. The Concubine Ihuoma

EQUITY COMES TO THE AID OF AN AFRICAN CUSTOMARY LAW RIGHT BY PROVIDING A REMEDY:

1. Injunction being granted on the application of a wife under customary law to stop a monogamous Christian/civil wedding; Cap 160 has a dilemma in this case. A woman who is supposed to be in a union of marriage that is not recognized will not be recognized during the lifetime of her husband but when the husband dies she gets recognition for purposes of inheritance.

2. Trusts - Land cases where a trust is recognized in African customary law. Is there a case such as a customary trust? English Trust recognising communal land as being held in trust for the community. ESIROYO VS ESIROYO, OBIERO VS OPIYO, MUGUTHU VS MUGUTHU

3. Place of Burial - the SM Otieno case upheld the customary right of clan elders to decide on place of burial and who to bury the deceased - Umira Kager Clan.

EQUITY HAS BEEN SILENT ON SOME PRACTICES

1. Customary practice on matrimonial property- vests in the husband and male relatives;

2. Customary practice on status of women - decision making power, ability to transact, leadership positions within clan, village.

EQUITY IS LIKE MUSIC TO MY EARS.



2. THE LAW OF TRUSTS

Trusteeship involves onerous obligations, where a donor retains no responsibility for the property once the gift has been made. Difficulty has been found in providing a comprehensive definition of a trust but various authors have made attempts to define the term trust.

A trust is a relationship which subsists when a person called the trustee is compelled by a court of Equity to hold property, whether real or personal, and whether by legal or equitable title for the benefit of some persons, of whom the trustee himself may be one and who are called *cestui que trust* or beneficiaries, or for some object permitted by law; in such a way that the real benefit of the property accrues not to the trustee, as such, but to the beneficiaries or other objects of the trust.

1. Lord Coke's Definition

Lord Coke defined a trust as “*a confidence reposed in some other, not issuing out of the land but as a thing collateral thereto, annexed in privity to the estate of the land, and to the person touching the land, for which cestui que trust has no remedy but by subpoena in the Chancery.*”

2. SIR ARTHUR UNDERHILL'S DEFINITION

Sir Arthur Underhill, the original author of the leading practitioners' work which is now known as **Underhill and Hayton, Law of Trusts and Trustees**, described a trust as “an equitable obligation binding a person (who is called a trustee) to deal with property over which he has control (which is called trust property), for the benefit of persons (who are called beneficiaries or cestuis que trust) of whom he may himself be one and any one of whom may enforce the obligation. This is not satisfactory, for it is not wide enough to cover **trusts for purposes rather than persons**. Trust for charitable purposes (e.g. for the repair of a church or the prevention of cruelty to animals) may lack human beneficiaries and yet be valid as trusts and there may also be other trusts which lack beneficiaries who can enforce them.

1. There is a person called a Trustee
2. Trust Property
3. Beneficiaries

Underhill's definition does not cover

1. **Charitable trusts.**
2. **Trusts of imperfect obligation-** such as a trust “for the maintenance and support of my dog Tigger” –this may well amount to a valid trust but is a trust of imperfect obligation because Tigger cannot enforce it.

The Successive editors of what is now Underhill and Hayton have, however, pointed out that, even though charitable trusts are outside the scope of the work, they are in any event covered by the definition, simply because such a trust is for the benefit of persons, namely the public, on whose behalf the Attorney General may intervene.

3. Lewin's Definition

Lewin on Trusts adopts a rather more comprehensive definition, which is based on a definition given by Mayo J. in **Re Scott**.

“the word ‘trust’ refers to the duty or aggregate accumulation of obligations that rest upon a person described as trustee. The responsibilities are in relation to property held by him, or under his control. That property he will be compelled by a court in its equitable jurisdiction to administer in the manner lawfully prescribed by the trust instrument, or where there be no specific provision written or oral, or to the extent that such provision is invalid or lacking, in accordance with equitable principles. As a consequence, the administration will be in such a manner that the consequential benefits and advantages accrue, not to the trustee, but to the persons called cestui que trust, or beneficiaries, if there be any; if not, for some purpose which the law will recognize and enforce.”

This definition is an improvement on Underhill’s definition.

1. Duties and obligations are clearly expressed;
2. Trust Instrument;
3. Beneficiaries do not have to be persons –purpose which takes care of charities etc.

A trustee may be a beneficiary, in which case advantages will accrue in his favour to the extent of his beneficial interest.

4. Definition in Hague Convention on Law of Trusts:

This has been incorporated into English Law by the UK **Recognition of Trusts Act 1987** and under Article 2 of that convention, a trust is defined as follows: -

For the purpose of this convention, the word ‘trust’ refers to the **legal relationships created – inter vivos or on death – by a person, the settlor, when assets have been placed under the control of a trustee for the benefit of a beneficiary or for a specified purpose.**

A trust has the following characteristics—

1. **the assets constitute a separate fund** and are not part of the trustee’s own estate;
2. **title to the trust assets stands in the name of the trustee** or in the name of another person on behalf of the trustee;
3. **The trustee has the power and duty**, in respect of which he is accountable, to manage, employ or dispose of the assets in accordance with the terms of the trust and the special duties imposed upon him by law.

The reservation by the settlor of certain rights and powers, and the fact that the trustee may himself have rights as a beneficiary, are not necessarily inconsistent with the existence of a trust.

The **PURPOSE OF THE CONVENTION** was twofold:

- i. **to provide rules by which the courts of signatory states** can uniformly determine the jurisdiction by rules of trust law trusts with international dimensions are;
- ii. **to provide some means of dealing with trusts in jurisdiction where the trust concept is unknown.** When property situated in such jurisdictions becomes the subject matter of a trust, problems potentially arise because it can be extremely difficult to convince the authorities of the jurisdiction in question that the trustees are not the beneficial owners of the trust property.

The definition has added the following to the previous definitions:

- The characteristics of a trust;
- the trust can be created during the lifetime of the settlor or after his death.
- it touches on the powers and duties of the trustee.

Main elements of a trust

1. *Equity/equitable jurisdiction. It is a creature of equity rather than common law.*
2. *There is an equitable obligation – an imperative duty.*
3. *There is a trustee-beneficiary relationship.*
4. *There is property constituting the subject matter.*
5. *There is duality of ownership – the trust separates legal ownership of trust property from its equitable or beneficial ownership.*

5. Keeton in his book Keeton Law of Trust defines trust as

“the relationship which arises whenever a person called the trustee is compelled in equity to hold property for the benefit of some persons or for some object in such a way that the real benefit of the property accrues not to the Trustee but to the beneficiaries or other objects of the trust.

Snell is of the opinion that Keeton definition is the more satisfactory because it encompasses a wider area in which objects are confined.

6. The Trustee Act Cap 167 Laws of Kenya does not contain any definition of the word Trust but its attempt is a negative and inclusive definition which seeks to show the types of transactions to which the Act applies and does not apply.

Section 2 of Trustee Act Cap 167 – contains words that:

Trust does not include the duties incidents to an estate conveyed by way of mortgage but with this exception the expressions trust and trustee extend to implied or constructive trusts and to cases where the trustee has a beneficial interest in the trust property and to the duty’s incident to the office of a personal representative and Trustee where the context admits includes a personal representative.

THE CONCEPT OF “USE”

Historically the concept of Trust arose from the concept known as the use. The *use is said to be the predecessor of the modern trust* in English law. General uses originated around 1230 AD under which land was held by one person or several persons on behalf of another or others for a particular purpose or use. Land would be conveyed to A for example for the use of B where B was for example a community of Franciscan Friars which at the time was not allowed to hold property at common law. Uses with time became more common as conveyancing devices often specifically to avoid common law restrictions. The difficulty was however that A had the legal title while common law only recognized legal title and not the use. So although clearly B was intended to enjoy the benefits of the property common law would not enforce his rights.

The Chancellor from about the year 1400 ensured that B did get this benefit by acting on the conscience of A. A who retained the legal title became known as the *feoffee to uses* and B became known as the *cestui que use* and was regarded as the equitable owner. This was a major landmark in the development of English property law

as it created a division of ownership into legal and equitable ownership and thereafter developed two separate legal systems.

The use was used mainly to avoid feudal dues (taxes). The legal estate could for example be vested in a number of *Feoffee to uses* as joint tenants and because jointly held estates pass automatically to the survivors, on the death of a joint tenant it was possible to avoid death duties. This is the rule of survivorship in property.

TRUSTS IN THE HIGHER SENSE AND IN THE LOWER SENSE

A trust is an equitable obligation enforceable in court. As was stated in the case of Kinloch V. Secretary of State for India [1882] 7 A.C 619 630 by Lord O'Hagan,

"...there is no magic in the word 'Trust' and it can mean different things in different contexts."

A person may be in a position of trust without being a trustee in the equitable sense and therefore terms such as anti-trust laws or trust territories are not intended to relate to a trust enforceable in a court of equity. Anti-trust (laws against restraint of commerce such as the **Restrictive Trade Practices And Monopolies Act**, a trust territory is a colony placed under the security council) A trust in the conventional legal sense maybe created without using the word trust. In each case it is necessary to consider whether such a trust was intended so the issue of intention is very important.

The issue of definition arose for decision in the case of Tito V. Waddell [1977] Ch. 106 which Megarry V.C. described as **litigation on the grand scale**. This case involved Ocean Island a small island in the pacific called Banaba by its inhabitants and they themselves were referred to as Banabans. It was partly part of a protectorate which later became a colony. At the beginning of the 20th century phosphates were discovered on this island and royalties for mining the phosphates were paid to the inhabitants. As time passed the banabans sought increases in the royalties and some increases were paid but they were considerably less than what the Banabans claimed. Claims continued to be made by the banabans politically and internationally but when they failed they brought proceedings to court. In the court proceedings they claimed that the rates of royalty payable under certain transactions were less than the proper rates and accordingly that the crown as the responsible authority was subject to a trust or a fiduciary duty for the benefit of the Plaintiffs or their predecessors and was liable for breach of that trust. The question whether there was a fiduciary duty or trust involved the construction of various agreements and statutes as well as other documentations.

It was held in the end that there was no such trust or duty. Now the essential elements of the decisions were

1. Although the word trust was occasionally used with reference to the Crown or its agents it did not create a trust enforceable in the courts, what Megarry V.C. described as a Trust in the lower sense or true trust but rather a trust in the higher sense by which was meant a government obligation which was not enforceable in the courts;
 2. Such a trust in the higher sense involved the discharge of duties under the direction of the Crown. There might be many means available of persuading the crown for example by international pressure to honour its governmental obligations and it might be more than a mere obligation but it was not enforceable in the courts;
 3. Although various statutes imposed statutory duties, they did not impose fiduciary obligations and normally when a duty is imposed by statutes on the government to perform certain functions it does not as a general rule impose fiduciary obligations;
-

Our course therefore is concerned with Trust in the lower sense and not in the higher sense. Those that give rights to fiduciary obligations that are enforceable in court.

USES OF THE TRUST

Throughout its history, the trust has been used especially by lawyers as a device to circumvent inconvenient rules of law. In medieval times a use which was the forerunner of the trust was brought into existence as a result of a transfer of property by its owner to 3rd parties to the use of either of himself or some other beneficiaries especially where such other beneficiary was not capable of owning property in law e.g. infants, religious associations etc.

Similarly, from the 13th Century statutes referred to as Statutes of Mortmain imposed prohibitions on gifts of land to corporations in an attempt to prevent land from being taken out of circulation more or less permanently thereby depriving the feudal lords of their revenue. This statute was trying to prevent land being given by way of gifts to corporations.

These statutes could often be avoided by taking advantage of a use. All that the owner needed to do was to transfer his property to B for the use of C where C was corporation for the use of the land. Before 1540 when the statute of Wales was enacted, it was not possible to leave freehold land by will. However, if a land owner wished to achieve the same result he could convey the land during his lifetime to 3rd parties to the use of himself during the remainder of his life and thereafter to the use of the intended beneficiaries. The result was that the land owner would continue to derive the benefit from his land for as long as he lived and upon his death the intended beneficiaries would automatically become entitled to the benefits.

The use was employed most frequently as a device to avoid feudal taxes. It was a medieval equivalent of a tax avoidance scheme for example on the death of a person who held land, as a tenant in Knight service an adult heir would have to pay the feudal lord a fixed sum before he could claim his inheritance and a year's profit of the land in question. Although after the year 1267 profits were only payable to the feudal lords in question or the king.

All these disadvantages could be avoided if before his death the tenant in Knight service conveyed his land to 3rd parties to the use of himself during the remainder of his life and thereafter to the use of his heir because the effect of uses was to deprive feudal lords in general and the King in particular of a substantial proportion of the feudal revenues. Uses became very unpopular with the crown and the crown consequently attempted to abolish the advantages of the use by the enactment of the Statute of Uses 1535.

The effect of the statutes was to execute the use by transferring the legal title from the 3rd parties who were known as Feoffee to uses to the beneficiary or the cestui que use or beneficiary thereby making the beneficiary liable to pay the feudal taxes.

However the effect of this statute was short-lived and by the 18th century the use had returned under the name of Trust. The device that the lawyers invented to circumvent the taxes was for A to confer land to B for the use of C in trust for D so that the statute only had effect on the first use but could not touch the second use which then became known as the trust.

In subsequent centuries the trust was used to tie up land or wealth for succeeding generations of a family and to make provisions for dependants. It also had other purposes for example the common law rule which was of general application that a married woman could not hold property in her own right during her marriage could be circumvented by the device of the use of a trust. One could vest property in trustees to hold upon trust for the married woman thereby circumventing the rule. Likewise un-incorporated organisation such as clubs, societies, trade unions etcetera which are not of themselves legal entities and therefore cannot hold real property would not have developed as they have if it had not been possible for property to be held by trustees on their behalf. The trust has also once again come to be used as a means of creating tax avoidance schemes. The law does not proscribe avoidance it proscribes evasion.

The principal uses of a trust

They may be summarised as

1. To enable property particularly real property to be held for persons who cannot themselves hold it e.g. even though the legal title to land cannot be vested in an infant or a minor, there is no objection to land being held in trust for the infant or minor;
2. To enable a person to make provision for dependants privately, the most obvious examples are provisions made a man for his mistress or illegitimate child; during the lifetime of the man there is no problem but if the man were to provide for the mistress or illegitimate child through his will, these circumstances are likely to leak out because once probate of the will has been obtained the will is a public document and is open to public inspection. On the other hand a trust deed in favour of the mistress or illegitimate child escapes this publicity;
3. To tie up property so that it can benefit persons in succession; an outright gift may be made to a spouse in the hope that on their death that property will go to the children but there is no guarantee that it will do so. The spouse could get married again and the property could get alienated. On the other hand a gift to trustees to hold on trust for the spouse for life with the remainder to the children will ensure that the children get the benefit;
4. To protect family property from Wastrels, a person may feel that an outright gift or money or other property to a surviving spouse or child will lead to its being squandered or wasted, a gift of that money or transfer of that property to trustees to hold upon trust and to pay either the income therefrom or only a limited proportion of the capital to the surviving spouse or child at given intervals will probably prevent this;
5. To make a gift to take effect in the future in the light of circumstances which have not yet arisen and therefore are not yet known. A person may for instance have 3 young daughters and may by will set up a trust whereby a sum of money is given to trustees for them to distribute among the daughters either as they deem fit or having regard to stated factors and with that discretion the trustees would be able for example in due course to give say one quarter of the fund each to two of the daughters who have married well and the remaining one half to the other daughter who was not so lucky.

Property that may be held in trust

The subject matter of a trust may be real or personal property. A trust may be not only a legal interest but also an equitable interest in the property.

In case of *Lord Strathcona S.S. v Dominion Coal Ltd* . It was stated that

“the scope of the trust recognized in equity is unlimited. There can be a trust of a chattel or of a chose in action or of a right or obligation and an ordinary legal contract just much as the trust for land. A ship owner might declare himself a trustee of his obligations under a charter party.”

Classifications of trust

There are no hard and fast categories but the following classes may be convenient:

1. Express trust.

An express trust is one created by an express declaration of the person in whom the property is vested. This could be under a will or by way of a trust deed or even under a document not under seal or orally. What matters is that there is intention and conduct creating the trust. An express trust is also referred to as a declared trust.

2. Implied trust.

An implied trust arises from the presumed as opposed to the expressed intention of the owner of the property. So for example if property is transferred to A to be held on certain trust which fail there is a presumption that A hold the property in trust for the owner's estate. Sometimes these are also called presumptive trusts or resulting trusts.

3. Constructive trust.

This is a trust imposed by equity although it is neither the expressed nor the presumed intention of the settlor or the testator or the owner of the property. Equity will impose such a trust when it would an abuse of confidence to allow the holder of the property to use it for his own benefit. See *Keech v Stanford* (1726) where the trustee of leasehold property had used his position to induce the landlord to renew the lease in his favour upon the determination of the initial term of the lease. The court held that this was an attempt to obtain a personal advantage for himself which was antagonistic to the beneficiary's interest and in bad faith. He was directed to hold the new lease on the trust under which he held the old lease. And this situation has also arisen in Kenya in customary view of land trust: you cannot defeat the first title under LRA. But judges have gone around this especially where the land involved was family land.

Trust may also be classified between private and public or charitable trusts.

A trust is said to be private if it is for the benefit of an individual or a class of individuals which the law refers to as a defined but limited group of beneficiaries. By its nature it can be enforced by the individual or individuals. It is private even though there may be some benefit conferred thereby to the public at large.

On the other hand a public trust promotes the public welfare as an object and is public even if it incidentally confers a benefit on an individual or class of individuals. The public trust is only enforceable by the Attorney-General or an officer appoint by him for that purpose or by two or more persons who can show that they have interest in the trust with the express consent of the Attorney-General.

Then you have trusts of perfect and **imperfect obligation**.

Trust of imperfect obligation

A trust not enforceable by a beneficiary or on the beneficiary's behalf is called a trust of imperfect obligation. The courts are rather reluctant to uphold such trusts, e.g. a trust to take care of my dog Simba. But some have been enforced such as a trust to take care of a tomb. There have been borderline cases that the courts have upheld but refused to follow as precedent, e.g. a trust to enhance grounds for hunting

Trust of perfect obligation

In the case of perfect obligation the objects are specific and capable of enforcing the trust

Imperfect obligation

Express Private Trust

Who has the capacity to create an express private trust. If a person a power of dispossession over a particular type of property he can create a trust of that property. He must be of age and of sound mind and a trust will be set aside if it can be shown that the settlor did not understand the nature of his act. The burden of proof will normally lie with the person seeking to set aside the trust but where there is a long history of mental illness the burden is easily discharged and it is then for the other side to prove that the trust was made during a lucid interval. See the case of **Clear v Clear** (1869) 1 P & D 655.

There are the so-called the three certainties of a trust. In the case of **Knight v Knight** (1840) Vol 49 ER 58. In that case Lord Langdale set 3 certainties that are required for creation of a trust:

1. the words used must be so phrased that taken as a whole they may be deemed to be imperative.
2. the subject matter of the trust must be certain
3. the persons or objects intended to be benefited must also be certain.

Certainty of words or intention

Equity applies the maxim that equity looks to the intent rather than to the form and therefore no particular form is necessary for the creation of a trust but the intent must be manifest from the document or the circumstances. Therefore even precatory words can rise to a trust if it can be shown from the construction of the document that a trust was intended. It is all a matter of construction for the court looking at the entire document to ascertain whether a trust was intended or not. In the case of **Re Hamilton** (1895) 2 Ch 370, 373. It was said of a will: "You must take the will which you have to construe and see what it means and if you come to the conclusion that no trust was intended you say so although previous judges have said the contrary on some wills more or less similar to the one you have to construe."

Certainty of subject matter

Certainty of objects

The law states that for a trust to succeed those three certainties must be established.

Estates of deceased persons

Marlott v Wilson

July 31 1866 voluntary settlement

The legal personal representative, called an executor where there is a will, otherwise an administrator with respect to a deceased who died intestate is a trust for all the creditors and beneficiaries claiming under the deceased. He holds the real and personal property of the deceased for their benefit and not his own.

Under the Trustee Act, a personal representative is said to be a trustee. However the true relationship should not be treated as being exactly the same although the personal representative may become a trustee in the full sense.

In the case of **Re Cockburn's Wills Trusts** otherwise known as *Cockburn v Lewis* (1957) 1 Ch 438. 4 persons had been appointed executors and trustees of a will, 2 of them the predecessors and the third denounced probate. Two administrators with the will attached were then appointed and they carried out their duties for 10 years after which a question arose relating to a scheme for the purpose of distributing the residuary estate and a sermon was taken out to determine whether the administrators who had cleared the estate and completed the administration in the ordinary way were trustee for the purposes of the will and therefore at liberty to exercise the powers and the discretions conferred on the trustee for the time being of the will. The question is arising because they were not the persons appointed as the executors and administrators, and it was held that the administrators having duly completed their duties as administrators had the power under the Act to appoint new trustees of the will to act in their place and that if they did not so appoint new trustees to execute the trust of the will they themselves would become trustees in the full sense. The administrators are not being seen as full trustees but they can become full trustees if they do not appoint somebody else.

The judge stated at p440 "Whether persons are executors or administrators once they have completed the administration in due course they become trustees holding for the beneficiaries either on an intestacy or under the terms of the will and are bound to carry out the duties of trustees although in the case of personal representatives they cannot be compelled to go on acting indefinitely as trustees and are entitled to appoint new trustees in their place and thus clear themselves from those duties which were not expressly conferred on them under the terms of the testator's will and which for that purpose they are not bound to accept."

We may also see the differences in the two offices. The duty of trustees to administer a trust on behalf of beneficiaries some of whom may be minors or even unborn may a long continuing process and many years may elapse before a trust can be ended. On the other hand, the primary duty of personal representatives is to wind up the estate by paying debts and taxes and thereafter distributing the residue to the persons beneficiaries entitled to it or to trustees who in some cases may be themselves to hold on trust if their provision for a continuing trust. Whereas the beneficiary has soon as the trust takes effect a person who is entitled to a share of the deceased estate has no proprietary interest while the assets of the estate remain in the course of the administration. All he has is a right to acquire the deceased's estates to be duly administered by the person representatives.

See **Commissioner of Stamp Duties v Livingstone** (1965) AC 694; **RE Leigh's Wills Trust**.

In the second case it was held that the nature of the interest of a beneficiary under a will is the right to require the estate to be duly administered which right is a chose in action which is transmissible.

In the other case it was held that the executor it was held he takes both legal and equitable title subject to his fiduciary duties to the beneficiaries and creditors of the testator for whose benefit he is to administer the estate.

A beneficiary under a trust acquires proprietary rights immediately the trust comes into operation. There are also differences in limitation period, Cap 22 section 20 and 21.

Power

A trust is an obligation on the trustees which is mandatory while a power is normally discretionary. E.g. a trust in favour of X and Y must be carried out to the letter and if money is to be paid to them in equal shares it does not matter whether one needs it more than the other. The trust is bound to distribute it as directed. In the case of *Re Baden's Deed Trust* (1973) Ch 9 the House of Lords stated what as to powers "although the trustees may and normally will be under fiduciary duty to consider whether or in what way they should exercise their power the court will not normally compel its exercise. It will intervene if the trustees exceed their power and possibly if they are proved to have exercised it capriciously. But in the case of a trust power if the trustees do not exercise it, the court will do so in a manner best calculated to give effect to the settlors or testators intention."

It is not always easy to distinguish where it is a trust power or real power. It is always a question of construction. One has to construe whether the settlor has shown an intention to benefit the objects of the power and sometimes this may depend on a few words or mere straws in the wind as stated by Lord Justice Harman LJ in *Re Baden's Deed Trusts* and also in *McPhail v Doulton* (1971) AC 424 illustrated. In **McPhail v Doulton** the deed in question provided that the trustees should apply the net income in making payments at their absolute discretion what to or for the benefit of any of the officers and employees or ex officers or ex employees of the company or to any relatives or dependants of any such persons in such amounts or on such conditions if any as they think fit."

Thus there is wide open discretion.

The judge of first instance (176) I WLT 457, Goff J, held it created a power and the court of appeal agreed by a majority. The House of Lords however held unanimously that it was a trust power and accordingly took effect as a trust. The clearly expressed scheme of the deed pointed to a mandatory construction according to the House of Lords.

So a power may be said to be an authority given to a person either by instruments or by statutes to deal with or dispose of property. There are those powers which give powers of dispossession over property such as a power of appointment.

Then there are those which give power to deal with property in a particular manner. An example of a power of appointment would be where the owner of a certain property gives power to another to appoint to the property to some third parties for example, Kenya shillings one million to the third party for life and the remainder to whomsoever he shall appoint.

The differences may be to

(1) *A trust is imperative while a power is discretionary.*

(2) *A trust is always equitable whereas a power can be legal, e.g. a power of attorney to transfer land on behalf of the appointer. However note the majority of powers are also equitable.*

(3) *A trust is always under a fiduciary duty but the holder of a power may or may not be under such duty in relation to the power.*

(4) *A power may be released by its holder but a trustee may not release his trust. Look at the case of Re Hay's Wills trust (1982) 1 WLR 1202 in which the VC said that both concepts should be treated similarly.*

Nature of the beneficiary's interests

At common laws the only right recognized were the legal rights in the trustee and so equity stepped in to recognize a beneficial interest in favour of the beneficiary and allowed the beneficiary to enforce it. The interests of a beneficiary are therefore equitable.

They confer on the beneficiary rights which include:

- (1) *The right to apply for a receiver to be appointed over trust property*
- (2) *The right to apply for the court's sanction for unauthorized transaction*
- (3) *Right to apply for injunction*
- (4) *A right to a charge on property bought partly with trust money*
- (5) *Right to inspect and take copies of account*
- (6) *Right to join as dependents*
- (7) *To sue in the trustees' name*
- (8) *when jus juris to bring the trust to an end*

TRUST & DEBT

With respect to a debt a **liability without more cannot be the subject matter of a trust**. There are exceptions to the rule

1. That a debtor will be able to create a valid trust of the sum which he owes for the benefit of his creditor or of a third party **if segregates the appropriate sum from his other assets and makes an express declaration of trust in respect of the segregated amount**. The effect of the creation of such a trust will be to give its beneficiary an advantage over the other creditors of the debtor in the event of the debtor being declared bankrupt;

Why did the trust give an advantage to the creditor who is a beneficiary? The proprietary interest of the beneficiary takes precedence;

2. There is in principle no reason why the same transaction should not give rise both to a trust and to a debt e.g. **a loan for a specific purpose can be made on the condition that the sum advanced will be held on trust for the lender unless and until the purpose of the loan is carried out**. In such

circumstances, what is crucial is the intention of the two parties (equity looks to the intent rather than form) in the case of **Barclays Bank V. Quistclose Investments** [1970] AC 567. A company which was substantially indebted to the Bank needed funds in order to pay a dividend on its shares. Quistclose advanced the necessary funds to the company on the basis that they were only to be used for this purpose (to pay the dividends) and they were placed into a separate account at the bank which bank was made aware of this arrangement. The company went into liquidation before the dividend was paid. The question for decision was whether the bank could set-off these funds that were held in this separate account against the indebtedness of the company to the bank. Whether they could do so or not depended entirely on whether there was a trust in favour of Quistclose Investments. If Quistclose was no more than a creditor of the company that had gone burst, then the funds in the bank belonged to the company and the bank would be entitled to set-off the credit balance of the account against the substantially greater indebtedness of the company. If on the other hand the funds were held on trust for Quistclose Investments its proprietary interests in the funds would enjoy priority over the rights of the bank. The case went to the House of Lords which held that *arrangements for the payments of a person's creditors by a 3rd party give rise to a relationship of a fiduciary character or trust in favour as a primary trust of the creditors and if the primary trust fails in favour of the 3rd party as a secondary trust.*

If the primary purpose had been achieved, Quistclose investments the 3rd party would have been no more than a creditor of the company but as that had not happened, its proprietary interest in the funds were held to take priority over the rights of the bank.

This case gave rise to what is now known as the 'Quistclose Trust'. It is important that the bank is aware of the arrangement and here the bank had been made aware of the arrangement. In the case of **Carreras Rothmans V. Freeman Mathews Treasure** [1985] Ch. 207. The judge was Peter Gibson J. who stated *"the principle in all these cases is that equity fastens on the conscience of the person who receives property from another, transfers for specific purpose only and not therefore for the recipient's own purposes so that such person will not be permitted to treat the property as his own or to use it for other than the stated purpose."*

3. **It is equally possible for proprietary rights to be conferred on someone who would ordinarily be no more than an unsecured creditor as a result of the unilateral act of one of the parties.** For example a purchaser who is paying for goods in advance can specify that the funds remitted are to remain her property in equity unless and until the goods are actually delivered. Such a reservation will bind the seller and his trustee in Bankruptcy but will not however bind a bank in which the funds have been deposited in which they are clearly segregated in what the bank knows to be trust account.

In the case of **Re Kayford** [1975] 1 WLR 279. This case concerned a mail order company. A mail order company in financial difficulties became concerned as to its ability to supply the goods for which its customers were paying in advance. It opened what was called a customers' trust deposit account into which all purchase moneys received from customers were deposited and were withdrawn only as and when the customers orders could be met. Shortly after opening this account the company went into liquidation and the **Meggary J. held that the funds in this bank account were held on trust for the customers. By paying the purchase moneys into the trust account the company had prevented the customers from ever becoming creditors and therefore no question of preference arose.**

TRUST & BAILMENT

A bailment is a delivery of personal chattels to a bailee subject to a condition that they be returned to the Bailor or be dealt with as the Bailor directs when the purpose of the bailment has been carried out. There is an element of delivery in bailment.

The position of a bailee is similar to that of a trustee in the sense that ***both are 'entrusted' with another's property***. The Trustee's duty to take care of trust property is roughly comparable with the duty of a gratuitous bailee although generally the trustee's duties are more onerous. In fact Blackstone in his commentaries Book II at page 451 defines bailment rather confusingly as a delivery of goods upon trust. This is perhaps due to the similarity. There are however differences

1. **A bailee obtains only possession and what is referred to as special property in the goods property while a trustee takes title to the trust property.** As a consequence a bailee cannot except in a sale in market overt by virtue of estoppel or under special legislations such as the Factors Acts pass a title to the Chattels valid against the bailor whereas a bona fide purchaser who purchases the legal estate from a Trustee for value without notice of the trust acquires a good title;
2. **Bailment is a common law notion worked out in proceedings for common law relief** such as actions for conversion, detinue or breach of contract **whereas the trust relationship is purely equitable.** In conversion, initial possession is lawful but later converts the goods contrary to what the owner intended. Detinue is where the defendant is unlawfully withholding the plaintiff's goods with no good reason.
3. **Bailment applies only to personal chattels that are capable of delivery whereas a trust may arise in respect of real or personal property and whether tangible or intangible.**
4. **A bailment is enforced by the bailor who is a party to the arrangement while generally the trust is enforced by the beneficiary who is not a party to the trust instrument.**

Swain v Law Society, the law society passed an Act in 1974 Section 7 of the Act directed that every lawyer was supposed to be insured as an indemnity for litigation that will arise in the course of their performance.

Swain went to court and argued that the Act of 1974 was Ultra Vires the court held that the society had powers to make rules for its members but where the society was being paid by the broker.

Act of 1974 ultra vires

Premium from the broker should be paid directly to the lawyers and not to the society.

Power given to the society was power in the public interest and

Had the law society entered into a policy contract as trustee for the lawyers who were members of this society?
No the society was not a trustee.

There was no intention to create a trust in reference to the premiums paid.

Trust & Agency

An agency arises where a person called the agent has expressed or implied authority to act on behalf of another called the principal and he consents to do so. The agent is normally treated as an accounting fiduciary party and he binds the principal vis-à-vis third parties. The two relationships are similar in that

1. both the trustee and the agent act for another's benefit;
2. their fiduciary roles prevent them from allowing personal interest and duty to conflict e.g. they may not purchase the property of the person to whom the fiduciary duty is owed.
3. Thirdly both are normally obliged to act personally and the duties are not ordinarily delegable.

There are differences however

1. **The trustee in exercise of his office will contract as principal and cannot bind the beneficiaries unless they have constituted him both trustee and agent but an agent binds his principal so long as he acts on the principal's authority or on the apparent or ostensible authority that he is deemed to have.**
2. Although the trustee has a right of re-coupment and indemnity against the beneficiaries for any properly incurred expenses and creditors may subrogate those rights in certain circumstances **there is therefore no direct contractual link between the beneficiary and 3rd parties comparable to the link between the principal and 3rd parties**
3. **Agency is normally terminated on death of either party and also by the principal acting unilaterally if there is no contract to the contrary or the contract permits him to do so. On the other hand, a trust cannot be revoked unless the trust instrument reserves the power of revocation. Mallot v. Wilson [1930] 2 Ch. 494.**

However, the beneficiaries if sui juris unanimous and together entitled may demand that the trust property be distributed and consequently that the trust be ended.

4. **Normally the principal in agency gives binding directions to his agent whereas beneficiaries cannot control the exercise of the trustee's discretion.** Refer to Re Brockbank [1948] Ch. 206;
5. The central distinction between agency and trust is in relation to property. **An agent does not per se hold any property for his principal.** Many agents do not obtain items of property at all and those who do so acquire only possession but not title. On the other hand **there can be no trust unless title to the trust property vests in the trustee or in another party on behalf of the trustee.**

Trust and agency overlap

Note that trust and agency may overlap. A trust may be created under which the trustee undertakes a contractual obligation to act on behalf of the beneficiary e.g. the vesting of company shares in a nominee for a fee. Conversely **an agent may become a trustee if for instance he acquires title to property to be held for the benefit of his principal.**

It has been said that an **agent becomes a trustee for his principal if he obtains title to the property for the principal's benefit** and on the face of it this is a clear proposition. However this is not easy to gauge in practice especially if what is involved is a mere chattel or money whose title may be transferred by mere delivery of possession with an intention to transfer it. The question was tested in Cohen v. Cohen [1929] 1 CLR in which a wife had sued her estranged husband for several sums of money and the husband in defence pleaded the statute of limitations her claims were time barred under the statutes of the Limitations Act. The defence would succeed unless the claims arose under a trust or had been acknowledged within the limitation period applicable to personal claims. The claims were as follows: 9000

DM being money and the sale price of chattels sold on her behalf by an agent in Germany. In order to overcome difficulties which attended transfer of funds from Germany to England where she lived, the wife had arranged for her husband to collect her 9000 marks and use it for purchase of goods in Germany for his own business, it being agreed that he would pay her out of his own funds in England.

The second claim was for £123 pounds sterling being the sale price of surplus furniture of the wife sold after the marriage, the husband having retained this amount.

The third claim was as to £80 pounds sterling being settlement of an insurance claim arising from the loss of the wife's jewellery again the husband having retained this amount.

The court held that she succeeded in all the claims, the court finding that the husband stood in a fiduciary relationship with regard to the wife's property in the circumstances and was therefore a trustee for her benefit. In arriving at this decision the court followed the decision in Burdick v. Garrick 9000 DM (1870) L.R. 5 C.L. 233 where Lord Justice Giffard stated as follows:

"in respect of attorneys who had been authorised and buy property and had attempted to set up the statute of limitations as a defence "there was a very special power of attorney under which the agents were authorised to receive and invest to buy real estate otherwise to deal with the property but under no circumstances could the money be called theirs." Under no circumstances had they the right to apply the money to their own use or to keep it otherwise than to a distinct and separate account throughout the whole of the time that this agency lasted, the money was the money of the principal and not in any sense theirs. Under these circumstances, I have no hesitation in saying that there was in the plainest possible terms a direct trust created. I do not hesitate to say that where the duty of persons is to receive property and to hold it for another and to keep it until it is called for, they cannot discharge themselves from that trust by pleading lapse of time."

ESTATES OF DECEASED PERSONS:

The legal personal representative (executor) where there is a will nominating him as such otherwise an administrator with respect to the deceased who dies intestate is a trustee for the creditors and beneficiaries claiming under the deceased. He holds the real and personal property of the deceased for their benefits and not his own. Under the Trustee Act a personal representative is said to be a Trustee. However the two relationships should not be treated as being exactly the same although the personal representative may become a trustee in the full sense. In the case of Re Cockburn's Wills Trust (Cockburn v. Lewis [1957] 1 Ch. 438. Three persons had been appointed executors and trustees of a will two of them, predeceased the testator and the 3rd renounced probate. Two administrators with the Will annexed were then appointed and they carried out their duties for a period of ten years after which a question arose relating to a scheme for the purpose of distributing the residuary estate. A summons was taken out to determine whether the administrators who had cleared the estate and completed the administration in the ordinary way were trustees for the purposes of the will and therefore at liberty to exercise the powers and discretions conferred on the trustees for the time being of the will. It was held that the administrators having duly completed their duties as administrators had the power under the Act to appoint new trustees of the will to act in their place and that if they did not so appoint, new trustees to execute the trusts of the will, they themselves would become trustees in the full sense. The judge stated at page 440 "whether persons are executors or administrators, once they have completed the administration in due course, they become trustees holding for the beneficiaries either on an intestacy or under the terms of the will and are bound to carry out the duties of the trustees though in the case of personal representatives they cannot be compelled to go on acting indefinitely as trustees and are entitled to appoint new trustees in their place and thus clear themselves from those duties which were not expressly conferred on them under the terms of the testator's will and which for that purpose they are not bound to accept."

There are differences in the offices of the personal representatives and the trustee, the duty of trustees who administer trust on behalf of beneficiaries some of whom may be minors or even unborn may be a long continuing process and many years may elapse before a trust can be brought to an end. On the other hand the primary duty of personal representatives is to wind up the estate by paying debts and taxes and thereafter distributing the residue to the persons beneficiary entitled to it or to trustees who in some cases may be themselves to hold on trust if there is provision for a continuing trust. The trustee's duty is not merely the passive one different from a personal representative whose duty is to wind up and distribute the residue estate. Whereas a beneficiary has an equitable interest in the trust property, as soon as the trust takes effect a person who is entitled to a share of the deceased estate has no proprietary interest while the assets of the estate remain in the course of administration. All he has is a right to require the deceased estate to be duly administered by the personal representatives. Refer to the case of Commissioner of Stamp Duties V. Livingstone [1965] A.C. 694 and Re Leigh's Wills Trust [1970] Ch. 227. in Re Leigh's it was held that the nature of the interest of a beneficiary under a will is a right to require the estate to be duly administered which right is a 'chose' in action which is transmissible.

In commissioner of stamp duties, it was held that the executor takes both legal and equitable title subject to his fiduciary duties to the beneficiaries and creditors of the testator for whose benefits he is to administer the estate. A beneficiary under a trust acquires proprietary rights immediately the trust comes into operation.

There are also differences in respect of the limitation periods under Section 20 and 21 of Cap 22.

TRUST & POWER

It is said that a trust is an obligation on the trustees which is mandatory while a power is normally discretionary. For example a trust in favour of X and Y must be carried out to the letter and if money is to be paid to them in equal shares it does not matter whether one needs it more than the other. The trustee is bound to distribute it as directed. In the case of Re Baden's Deed Trusts [1973] Ch. 9 the House of Lords stated "*as to powers although the trustees may and normally will be under a fiduciary duty to consider whether or in what way they should exercise their power, the court will not normally compel its exercise. It will intervene if the trustees exceed their power and possibly if they are proved to have exercised it capriciously. But in the case of a trust power if the trustees do not exercise it the court will do so in a manner best calculated to give effect to the settlor's or testator's intentions.*"

It would appear that power is a question of construction with respect to each case depending on its circumstances. One has to construe whether the settlor has shown an intention to benefit the objects of the power and sometimes this may depend on a few words or mere straws in the wind as stated by Lord Justice Harman in Re Baden and also as the leading case of McPhail v. Doulton (1971) A.C. 424 illustrates. In this case the deed in question provided that the trustees should apply the net income in making payments at their absolute discretion "to or for the benefit of any of the officers and employees or X officers or X employees of the company or to any relatives or dependants of any such persons in such amounts or on such conditions if any as they think fit." The Judge of first instance (1967) 1 WLR 457 Goff J. held that it created a power and the court of appeal agreed by a majority. The House of Lords however held unanimously that it was a trust power and accordingly took effect as a trust. The clearly expressed scheme of the Deed pointed to a mandatory construction according to the House of Lords.

A power may be said to be an authority given to a person either by instrument or by statute to deal with or dispose off property. There are those powers which give power of this possession of a property such as a power of appointment to decide who takes what property amongst many properties. Then there are those which give power to deal with property in a particular manner. An example of a power of appointment would be where the owner of certain property gives power to another to appoint the property to some third parties e.g. Kenya Shillings one million to the 3rd party for life and the remainder to whomsoever he shall appoint. The differences may be said to be

1. A trust is imperative while a power is discretionary;
2. A trust is always equitable whereas a power can be legal e.g. a power of attorney to transfer land on behalf of the appointer. However, note that the majority of powers are also equitable;
3. A trustee is always under a fiduciary duty but the holder of a power may or may not be under such duty in relation to the power;
4. A power may be released by its holder by a trustee may not release his trust.

Re Hay's Wills Trust (1982) 1 W.L.R. 1202 in which the vice chancellor Megarry J. expressed the view that both concepts should be treated similarly.

Nature of the Beneficiary's interest

At common law the only rights recognized were the legal rights in the trustees and so equity stepped in to recognize a beneficial interest in favour of the beneficiary and allowed the beneficiary to enforce it. The interests of a beneficiary are therefore equitable and they confer on him rights which include

1. *The right to apply for a receiver to be appointed over trust property;*
2. *The right to apply for the court sanction of unauthorised transactions*
3. *The right to apply for injunctions;*
4. *The right to a charge on property bought partly with trust money,*
5. *The right to inspect and take copies of the account;*
6. *The right to joint trustees as defendants; to sue the trustees, to sue in the trustee's name etc. When sui juris and together entitled to bring the trust to an end.*

CERTAINTY OF WORDS CONTINUED

The trend would seem to be to negative such an intention where such words occur but each case depends on its particular set of circumstances. In Re Adams & Kensington Vestry (1884) 27 Ch. D 394 where a testator had given all his real and personal estate to his wife "in full confidence that she would do what was right as to the disposal thereof between my children". It was held that under these words the widow took an absolute interest in the property unfettered by any trust in favour of the children. The judge also observed that some case had gone very far and unjustifiably imposed upon words a meaning beyond that which they would bear if looked at alone.

What is meant by certainty of words is certainty of intention to create a trust appearing from the words in the document. In the case of Re Diggles (Gregory v. Edmonson (1888) 39 Ch.D 253 a testatrix Maryanne Diggles had made a will dated 4th August 1868 in the following terms "I give devise and bequeath all my real and personal property and effects unto my daughter Frances Edmonson her heirs and assigns and it is my desire that she allows to my relatives and companion Anne Gregory now residing with me an annuity of 25 sterling pounds during her life and that the said Anne Gregory shall if she desire it have the use of such portions of my household furniture linen etcetera as may not be required by my daughter Frances Edmonson..." Under this will the daughter and her husband Alfred had been appointed as executrix and executor of the will. They continued paying annuity to Anne for a number of years and then stopped. She filed a suit for payment of arrears and a decision that they held the Estate subject to a trust in her favour. The question was whether under these words there was any trust created in favour of Anne Gregory and the Court of Appeal held that no trust

or obligation to pay the annuity was imposed upon the daughter but that there was only a request to the daughter not binding on her in law to make that provision for Anne Gregory.

No trust was created either in Lambe V. Eames (1871) E.R. Ch. App 57 using the words “have confidence” and in Re Williams (1897) 2 Ch. 12 by the use of the words “fullest, trust and confidence” and neither was such trust created in Re Connolly (1910) 1 Ch. D 219 by the words “specially desire”

On the other hand in the case of Comiskey V. Bowring-Hanbury (1905) A.C. 84 The testator gave all his property to his wife “absolutely in full confidence that she will make such use of it as I would have made myself and that at her death she will devise it to such one or more of my nieces as she may think fit.” The House of Lords held that on a true construction of the whole will the words in full confidence created a trust.

CERTAINTY OF SUBJECT MATTER:

There are two limbs to this rule that the subject matter be certain:

1. The trust property or trust fund must be certain, it is uncertain to say for example “the bulk of my residuary estate”
2. The actual interest that the beneficiaries are to have must also be certain.

The maxims of equity will in certain cases come in to remedy the defects. *Equity is equality, equality is equity.* Equity tries to save a trust by finding a way to cure the uncertainty so where the maxim is applicable equity will apply equality is equity to divide in equal proportions. Note that there is no uncertainty if the testator does not specify the exact interest but confers upon the trustees a discretionary power to apply the trust fund or to pay it among a class of persons as they think fit. The discretionary power provides the absolute certainty.

Even if part of the trust is uncertain a certain part is still good and in certain circumstances if the uncertain part fails the entire interest will go to the persons entitled to the certain part of Curtis V. Rippon (1820) 5 Madd. 434 where the testator had left all his property to his wife “*trusting that she would in fear of God and in love of the children committed to her care make such use of it as should be for her own and their spiritual and temporal good remembering always according to the circumstances the church of God and the poor*”. The court held that the beneficial interest was to be taken by unascertained beneficiary subject to the rights of others to unascertained portions of it and the rights of these others therefore failed due to uncertainty and the ascertained beneficiary took the entire interest.

In Re Kolb's Wills Trusts (1962) Ch. 531 what was in issue in this case was the construction of an investment clause in a will where the testator had referred to among other things investments in Blue-Chip Securities. The term blue-chip securities is often used to denote shares in large public companies thought to be entirely safe but is not a term of art and it lacks precision. The judge held that the term depended essentially on the standard applied by the testator and should not be regarded as an objective quality of the investment. If the testator had made his trustees the judges of the standard to be applied, all would have been well but as he had not that part of the clause in which the term was contained was void for uncertainty.

Contrast this decision with the decision in Re Golay's Wills trust (1965) 1 WLR 969

Claire v Claire

Capacity and approval, testamentary capacity

Certainty of objects

The question: who has *locus standi* or who stands to benefit. The test of certainty here is that the objects be certain or be capable of being rendered certain. This test was restrictively interpreted in the case of *I.R.C v Broadway Cottages Trust*, to require that the trustees should at any time be able to make a full list of the beneficiaries and (1955) Ch 678 if the class was uncertain at any time the trust will fail for uncertainty.

With regard to trust powers in favour of a discretionary class of objects. This test was later discarded by the House of Lords. In the case of *McPhail v Doulton* (1971) AC 424 and a new test identical to that used in *Powers* was formulated which is whether it can be said of any given person that he or she is or is not a member of the class. There has been arguments that this new test should also apply to fixed trusts and not only to discretionary trusts but the issue has not finally been determined.

There is an important exception to the rule that the objects be certain and this is the charitable trust where provided that a paramount general intention of charity is manifested certainty in charitable trusts is not essential to the validity of the trust.

The effect of uncertainty is as follows:

1. with respect to certainty of word or intention if an intention to create a trust cannot be derived from the words used in the instrument the alleged trustee will take the property as beneficiary.
2. if it is the subject matter that is uncertain the transaction will fail “in limine” or from the threshold. In such circumstances there is nothing certain on which the trust can fasten. If it is the beneficial interest which is to be taken by the beneficiaries which is uncertain there is may a trustee **in favour of the settlor or rep if he dead. Or in certain cases** in favour of the residual legatee if there is one. There may also be cases where part of the trust is certain in which case the uncertain parts may go to the person entitled to the certain parts. Sometimes the maxim of equity will be applied to divide equally.
3. if it is the objects that are uncertain with the exception of the charitable trust there will be a resulting trust either in favour of the settlor, his estate if he is dead, or in favour of the residuary legatee.

Secret trust

These usually arise where a person wishes to make provision for another but does not want the whole world to know about it. When a person dies his will becomes open to public inspection and secret trusts are used to avoid this public scrutiny and sometimes this is because the testator mistresses or illegitimate children. The doctrine of secret trust was originally based on equity's maxim that equity will not allow a statute to be used as a cloak or engine of fraud. The statute referred to in this maxim was the Wills Act 1837, which was a statute of general application. Under section 9 of that act (equivalent to section 160) no will shall be valid unless

1. it is in writing and signed by testator or by some other person in his presence or by his direction
 2. it appears that the testator intended by his signature to give effect to the will
 3. the signature is made or acknowledged by the testator in the presence of two or more witnesses
 4. each witness either (1) attests and signs the will or (2) acknowledges his signature in the presence of the testator. A will executed without these formalities is void and this applies to both equitable interest as well as a legal estate disposed of by the will. The doctrine of secret trust applies in that the details of the trust or the very existence of the trust is not disclosed in the will. And the doctrine applies as follows: If a testator makes a provision of a gift in his will to a trustee therein named on the strength of a promise that the recipient will hold that property on trust for a third party, equity will prevent any attempt by the recipient to rely on the absence of any mention of the trust in the will and to claim the property for himself. And this is despite the testator's failure to comply with section 9. an equitable obligation communicated to the trustee during
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the testator's lifetime, which obligation which the trustee has expressly or by implication accepted. The doctrine of secret trust therefore operates outside the provisions of the will Act or the Law of Succession Act. In *Blackwell v Blackwell* (1929) AC 318, 335, it was stated by Viscount Sumner "For the prevention of fraud equity fastens on the conscience of the legatee a trust which otherwise would be inoperative. In other words, it makes him do what the will has nothing to do with. It lets him take what the will gives him and then makes him apply it as the court of conscience directs and it does so in order to give effect to the wishes of the testator which would not otherwise be effectual."

The basis of the secret trust is therefore the existence of a validly executed will which passes the title of property to the intended trustee and the acceptance by the trustee of an equitable obligation during the testator's lifetime

This is illustrated in the case of *Re Young* (1951). Ch 344. Here one of the intended beneficiaries under a secret trust had witnessed the will and the question was whether he forfeited his legacy under section 15 of the Wills Act which provides that a witness to a will cannot take a benefit under it (S 13 (2) of the Law of Succession Act. The judge held that there was no forfeiture because the whole theory of the formation of a secret trust was that the act had nothing to do with the matter. He went on to say that the forms required by the Wills Act were to be entirely disregarded because the beneficiary did not take by virtue of a gift in the will but by virtue of a secret trust imposed on an apparent beneficiary who did not take under the will and who was bound by the trust.

Secret Trusts will be classified into full and half secret trust.

- **A full secret**

A full secret trust, which are completely concealed by the testator in his will. On the face of the will, the alleged trustee takes absolutely. If property is given by will to x absolutely and a communication is made to x by the testator during his lifetime that x is to hold the property on specified trusts and provided also that x accepts the trust, a fully secret TRUST which is enforceable at equity will come into being. In the case of *Ottaway v Norman* (1972) Ch 698 the judge stated the essential requirements of a secret trust as follow

1. The intention of the testator to subject the primary donee to an obligation in favour of a secondary donee
2. the communication of that intention to the primary donee
3. The acceptance of that obligation by the primary donee either expressly or by acquiesce. Evidence oral or written is admissible to show the terms of a trust. And in the case of *Ottaway* it was stated that clear evidence is needed before court will assume that the testator did not mean what he said but intended that the gift should be held by the beneficiary subject to a secret trust. He was also of the opinion that the standard of proof required to establish a secret trust was perhaps analogous to that which the court requires for the ratification of a written instrument. On the other hand, in *Re Snowden* (1979) the vice chancellor conceded that the standard of proof for ratification was not the appropriate analogy. He thought that in the absence of fraud or the special circumstances the standard of proof of a secret trust was merely the ordinary civil standard of proof required to establish an ordinary trust. In this case the testator had left her residual estate to her brother who subsequently died leaving his estate to his only son. There was some evidence that the testatrix had said that the brother would know what to do and would deal with everything for her but it was held that although there was some arrangement between the parties it amounted only to a moral obligation which was not intended to be binding and accordingly the brother had taken the residual free from any secret trust and on his death, it passed to his son absolutely

The doctrine of fully secret trust has a rather long history and its basis was established as long ago as 18th century. Thus, in the case of *Drakeford v Wilks* (1737) the t. had bequeathed a bond to the plaintiff. She was thereafter induced to make a new will by which she bequeathed the same bond to a third party on the strength of a promise by the third party that upon his death the bond would go to the plaintiff and it was held on those facts that the plaintiff could compel the performance of the trust

FULLY secret acts

1. It is essential to show that the testator did in fact communicate the trust during his lifetime to the legatee and that the latter explicitly or impliedly accepted it. If the legatee only hears about the trust after the testator's death the secret trust will fail and the legatee will take absolutely. [Legatee-one who is named in a will to take personal property; one who has received a legacy or bequest; loosely, one to whom a devise of real property is given]
2. The communication of the trust and its acceptance may take place either before or after the date of the Will provided that it takes place during the lifetime of the testator.
3. If the fully secret trust is accepted by the trustee but the objects of the trust are not communicated during the lifetime of the testator the trust will not take effect but in such a situation the legatee will not take absolutely and there will be a resulting trust in favour of the testator's estate or in favour of the residuary legatee if there is one.

In the case of *Re Boyes* (1884) 26 Ch D 531, the testator had made an absolute gift of property to his executor. The testator had previously told the executor that he wished him to hold the property according to directions which he would communicate by letter and the executor had agreed to this arrangement. However, these directions were not communicated by the testator but after his death two unwitnessed documents were found in which the testator stated that he wished a particular person to have the property and on those facts, it was held that the secret trust failed and the executor held the property for the testator's next of kin as there was no gift of residual.

4. Communication and acceptance of the trust may be affected constructively and in that case in *Re Boyes* the judge expressed the view that a trust put in writing and placed in the trustee's hands in a sealed envelope would constitute communication and acceptance at the date of delivery for that purpose. This view was accepted by the court of appeal in the case of *Re Keen* (1937) Ch 236 which was a case of half secret trust.
5. It is required that the property that forms the subject matter of the intended trust be certain which is a rule that applies generally in the law of trust.

- Half secret trusts

These arise where the trustee on the face of the will takes as trustee but the terms of the trust are not specified. For example, if property is given to a person for purposes which I have communicated to him or for purposes which he is aware of a half secret trust will arise. It is clearly established that evidence cannot be adduced to contradict the express terms of the will, therefore if the will points to a future communication, for example, to my trustees for purposes which I will communicate to them evidence cannot be admitted of communication made before the will was made. Similarly, if the will points to a contemporaneous or past communication evidence cannot be admitted of communication made after the execution of the will. You should note that as the present state of the law stands future communications with respect to half secret trusts, whether or not the will points to them, are not in any even admissible.

However, where the communication of the trust is made before or at the same time as the execution of the will evidence is admissible to show the terms of the trust and the trustee is bound by it. You may refer to the case of Backwell v Blackwell (1929) A 318 for that proposition.

It has been argued that the principle governing communication made after the execution of will yet prior to the testator's death with respect to half secret trust cannot be justified and it would appear that the courts have confused the doctrine of secret trust with the probate doctrine of incorporation by reference. Section 12 sets out the probate doctrine of incorporation. It means that it is possible to incorporate in a will a document which is not executed in accordance with — in our case-- the Law of the Succession Act but for the doctrine to apply the document must be in existence at the date of the will and must be specifically referred to in the will. It is argued that this rule of probate is concerned purely with the validity of the will itself and the documents to be incorporated within it. The rule should not and does not relate to secret acts, which according to the doctrine of secret trusts operates outside the will.

If a testator wishes to carry out his purpose by making a number of secret trusts piecemeal he must inform the trustees in respect of every edition to the secret objects. Example in the case of Re Colin Cooper (1939) Ch 811 in which a testator by will bequeathed 5,000 pounds sterling to two trustees "upon trusts already communicated to them". He had in fact communicated the nature of the trusts to the trustees by a farther will he purported to increase the sum to be devoted to the secret trust to 10,000 pounds but did not inform the trustees. The result was that though the first install of 5,000 pounds could be devoted to the secret trust the second installment could not.

- Charitable trusts

Charitable trusts or public trusts are distinguished from private trusts in that they are aimed to benefit society at large or an appreciable portion of society. On the other hand, a private trust is aimed to benefit defined persons or defined classes of persons. In general, charitable trust are subject to the same rules as private trusts. However, because of their public nature they enjoy a number of advantages which are not shared by private trusts:

1. They are restricted to the rule against perpetuity.
2. They enjoy income tax exemptions over their investment incomes
3. They will not fail for uncertainty of objects if they are exclusively charitable and there is a paramount general intention of charity.

Through case law three requirements have emerged for the creation of charitable trusts:

1. They must be of charitable nature
2. They must be for the public benefit
3. They must be exclusively charitable

Charitable nature: The definition of charity adopted by the courts has been drawn from the preamble of the Statutes of Elizabeth 1601, 43 Eliz 1 .4. In this preamble a list of charitable objects was set out as follows:

“The relief of aged, impotent and poor people, the maintenance of sick and maimed soldiers and marines, schools of learning, free schools and schools in universities, the repair of bridges, ports, havens causeways, churches, sea banks and highways, the education and preferment of orphans, the relief of stock or maintenance for houses of correction, the marriage of poor maids, the support, aid and help of young tradesmen, handicraftsmen, and persons decayed, the relief or redemption of prisoners or captives and the aid or care of any poor inhabitants concerning payment of fifteens, setting out of soldiers and other taxes.”

The statute was repealed in 1888 by the Mortmain and Charitable Uses Act 188 but the preamble was repeated under section 13(2) of the 1888 Act. The 1888 Act was also repealed in its entirety by the Charities Act of 1960 but the preamble remains a guide to the courts as to the legal meaning of charity. The spirit of the preamble has been used extensively to extend charitable objects by analogy into new situations. The continued relevance of the preamble was affirmed in the case of *Scottish Burial Reform and Cremation Society v Glasgow City Corporation* (1968) AC 138 in which cremation was held to be a charitable purpose. Lord Wilberforce in that case stated: “What must be regarded is not the wording of the preamble but the effect of decisions given by the courts as to its scope, decisions which have endeavoured to keep the law as to charities moving according as new social needs arise or old ones become obsolete or satisfied.”

Likewise, in the case of the *Incorporated Council for Law Reporting for England and Wales v Attorney General* (1972) Ch 73. The Court of Appeal in affirming the charitable status of the council specifically held that the publication or dissemination of law reports was a purpose beneficial to the community being within the spirit and intendments of the preamble to the Statutes of Elizabeth. And in the case of *Re Pemsel* (1891) AC 531 Lord MacNaghten stated at page 583 as follows:

“Charity in its legal sense comprises four principal divisions:

1. *Trusts for the relief of poverty*
2. *Trusts for the advancement of education*
3. *Trusts for the advancement of religion*
4. *Trusts for other purposes beneficial to the community not following under any of the preceding heads.*

The trusts last referred to are not less charitable in the eyes of the law because incidentally they benefit the rich as well as the poor and indeed every charity that deserves the name must do so either directly or indirectly.”

FOUR CLASSES OF CHARITY

As established by Lord MacNaghten

For a trust to be termed charitable it must benefit or be intended to benefit the public at large. In *Re Horbourn Air Raid Distress Fund* [1946] Ch. 194 an emergency fund which had been built up during the war had been used partly for comforts for ex0-employees serving in the forces and later for employees who had suffered distress from the air raids. An application was made to court with respect to surplus funds arising from this fund and it was held that because of the absence of a public element no charitable trust had been created and the surplus funds should be returned to the contributors.

In the case of *Oppenheim V. Tobacco Securities Trust Co Ltd* [1951] A.C. 297 Trustees had been directed under a settlement to apply monies in providing for the education of children of employees or ex-employees of BAT or any of its subsidiaries or allied companies. The employees numbered over 110,000. the question was whether or not the settlement was a charitable trust. The House of Lords held that although the group of persons indicated was numerous, the nexus between them was employment by a particular employer and it therefore followed that the Trust did not satisfied the test of public benefit which was required to establish it as charitable.

In Re Compton [1945] Ch. 123 a trust for the education of the descendants of 3 named persons was held not to be a charitable trust because the beneficiaries were identified by reference to a personal relationship and it therefore lacked the quality of a public trust. It was a family trust and not one for the benefit of a section of the public. Therefore, an aggregate of individuals ascertained by reference to some personal tie such as blood or contract for example the relations of a particular individual, the members of a particular family or the members of a particular association does not amount to the public or a section thereof for the purpose of the general rule and will not accordingly rank as legally charitable.

1. RELIEF OF POVERTY

Poverty does not constitute destitution it can cover for example the provision of flats at economic rents to benefit old people of small means or to assist widows and orphans of the deceased officers of a bank as in Re Coulthurst [1951] Ch. 661. Conversely a person is not necessarily poor merely because he cannot afford to provide for himself the advantages that the trust will give him. Thus, a trust to provide dwellings for the working classes in Re Saunders Wills Trust [1954] Ch. 265 was held not charitable and so too a trust to encourage a migration generally in the case of Re Sidney [1908] 1Ch. 488 which was a bequest in trust for “such charitable uses or for such emigration uses or partly for such charitable uses and partly for such emigration uses as the trustees may think fit.” The trust was firstly held void for uncertainty and master of the Rolls went on to express the view that emigration uses are not necessarily objects of general public utility. In Re Saunders the testator had directed that his trustee should apply certain property “in any manner in which he considers to be in furtherance of any general charitable intention with regard to the disposal thereof namely to provide dwellings for the working classes and their families residents in the area of Pembroke Dock Pembroke Shire Wales.” It was held

1. The gift for the working classes was not a gift for the relief of poverty and was therefore not a charitable one;
2. Notwithstanding the testator reference to his general charitable intention no such intention was to be inferred as the phrase as used by the testator was referable only to the particular non-charitable purpose of erecting houses for the working classes.

The doctrine of - general intention of charity

In Sheikh Fazal etc Trust V. Commissioner of Income Tax [1957] EA 616 in which the case of Re Pemsel was applied. The words “for the benefit or towards the relief of poor and needy Muslims in Mecca and/or Medina” were held to constitute a charitable trust within the meaning of the Income Tax Act.

2. TRUST FOR THE ADVANCEMENT OF EDUCATION

The general rule is that there must be an intention that learning should be imparted not simply that it be accumulated. The tendency is however to widen the fields of education. The rule in its somewhat restrictive sense appears to have been adopted by Harman J. in Re Shaw [1957] 1 LR 729 it is clear however that advancement of education is broader than the concept of a classroom or formal institution. However, there must be an element of instruction and improvement. Examples of what has been held charitable under this head includes

1. *The foundation of lectureship in universities;*
 2. *Carol singing;*
 3. *A trust for “Education, self-control oratory, deportment and the arts of personal contact in Ireland in Re Shaws [1952] Ch. 163*
 4. *The endowment of a National Theatre Re Shakespeare Memorial Trust (1963) Ch.*
 5. *A trust for reviving classical drama;*
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6. *Trust for the production of a dictionary;*
7. *Publication of Law Reports (Incorporated Council for Law Reporting for England and Wales V. A.G.)*
8. *Prices for sports at an educational establishment;*
9. *Publication of vernacular Newspapers Re Tanganyika National Newspapers Ltd [1959] E.A. 1057*

Those held not to be charitable include

1. *A trust to found a college for training spiritualistic mediums Re Hummeltenburg {1923} 1 Chg. 213*
2. *A trust for preserving a useless collection of pictures and furniture as a Museum Re Pinion [1965] Ch. 85*
3. *Political purposes which are put forward as educational purposes Re Hopkinson (1949) 1 All E.R. 346.*

In the case of Re Hopkins Wills Trust (1965) Ch. 669 the testatrix had given her residuary estate to the Francis Bacon Society to be applied towards finding the Bacon/Shakespeare Manuscripts. One of the main objects of the society was to encourage the general study of the evidence of Francis Bacon's authorship of plays commonly ascribed to Shakespeare. The terms of the Will were held to mean that the money was to be used to search for manuscripts of plays commonly ascribed to Shakespeare but believed by the testatrix and society to have been written by Bacon. The Judge held that the purposes of search or research for original manuscripts of England's greatest dramatist were within the law's conception of a charitable purpose on two grounds:

1. *As being for education;*
2. *As being for other purposes beneficial to the community within the fourth head of Lord McNaghten's classification because it was a gift for the improvement of the country's literary heritage.*

Wilberforce J. spelt out the requirements that must be satisfied by research as follows:

1. *It must be of educational value to the researcher;*
2. *It must be so directed as to lead to something which will pass into the store of educational material;*
3. *It must be so as to improve the sum of communicable knowledge in an area which education may cover;*

ADVANCEMENT OF RELIGION

Under this group there is a large measure of tolerance in equity and as long as the purpose is not subversive of other religions or morality, it will be upheld as charitable. In Thornton V Howe (1862) 31 Beav. 14 the master of the rolls recognized as charitable a Trust for the publication of one Joana Southcott even though he evidently thought her doctrines were ridiculous. There appear to be limits to the court's latitude in Jeap Cheah Neo V. Ong Cheng Neo (1875) L.R. 381

The privy council held that a trust requiring ancestor worship was not charitable the Courts concerned would then appear to be only monotheistic religions. Like in other charities the religious purpose must confer some benefit to the public. Thus in the case of Gilmour V. Coats [1949] A C 426 a Trust Fund to be applied to the purposes of a Carmelite Convent which comprised an association of strictly cloistered and purely contemplative nuns who did not engage in any activities for people outside the convent was held to fail by the house of Lords on two grounds

1. *The benefit of intercessory prayer could not be proved in law;*
2. *The Element of edification was too vague and intangible;*

Examples of trusts held charitable under this head include:

1. *Support for a religious order or community e.g. a monastery or convent;*

2. *Saying of prayers for the dead. Refer to Re Caus (1934) Ch. 162*
3. *The improvement of musical services in the Church;*
4. *A gift for God's work has also been held to constitute a valid trust in Re Barker's Wills Trust [1948] 64 LTR 273*
5. *The repair of a Church Yard or Burial ground;*
6. *Repair of headstones in a graveyard;*

Those held not charitable under this Head include:

1. *A trust for the upkeep of a particular tomb;*
2. *A trust to establish a Catholic Daily Newspapers which was held to be only partly conducive to religion in the case of Roman Catholic Arch Bishop of Melbourne V. Lawlor 51 CLR 1.*

It is essential that the trust be exclusively charitable and it will fail if it mixes religious objects with some other non-charitable purposes. Thus, in the case of Dunne V. Byrne [1912] A.C. 407 a gift was made to the Roman Catholic Archbishop of Brisbane and his successors to be used "as they judged most conducive to the good of religion in the diocese was held to be too wide and therefore failed. So too a gift for parish work in Farley V. Westminster Bank [1939] AC 430.

In the White Paper of 1939 under the heading 'Charities a Framework for the Future-Charities Act 1992' it was noted anxieties have been expressed in particular about a number of organizations whose influence over their followers especially the young are seen as destructive of family life and in some cases as tantamount to brain washing"

OTHER PURPOSES BENEFICIAL TO THE COMMUNITY:

This is a residuary class under Lord Mcnaughten's classification and as a result provides the most varied set of decisions of trusts held charitable. The courts have held that any objects within this class must still be within the statute of Elizabeth or at least with the spirit of the statute. Therefore, even though it is a vague and general class, it does not cover every public utility. The courts approached the category on the tests of whether it is within the statutes and whether it is beneficial to the public. Examples of trusts held charitable under this heading include;

1. *A trust for the protection of animals; Refer to Re Hedgewood [1915] 1 Ch. 113;*
2. *A trust for the provision of a fire brigade;*
3. *Trusts for Hospitals but not a nursing home for private profits;*
4. *Trust for the Defence of the country;*
5. *A trust for an animal hospital;*
6. *A home for lost dogs; Re Douglas (1887) 37 Ch. D 472 Emphasis here was laid on public utility which is not the normal trend with respect to animal trusts.*

A gift for the suppression of vivisection has been held not to be charitable although it was once charitable. Refer to National anti-Vivisection V. IRC [1948] AC. 31 on the ground that the benefit of suppressing vivisection did not outweigh the benefit to be derived from it.

Among the most important charities under this head are recreational trust and, in the UK, this are now governed by the Recreational Charities Act of 1958. The Act was enacted after what was felt to be an inconvenient decision by the House of Lords in the Case of Inland Revenue Commissioner V. Baddeley [1955] A.C. 572. This case concerned certain trusts "for the promotion of the moral social and physical well-being of persons residents in West Ham and Leyton who for the time being are members or likely to become members of the Methodist Church by the provision of facilities for moral social and physical training and recreation". The House of Lords decided that the Trusts failed because they were expressed in a language so vague as to permit

the property to be used for purposes which the law did not recognize as charitable and also because they did not satisfy the necessary test of public benefit. The decision threatened the validity of many trusts which had for a long time enjoyed charitable status such as women's institutions, boys' clubs, miner's welfare trust, village halls etc and therefore the need for legislative intervention.

Section 1(1) of the Act provides that it shall be and shall be deemed always to have been charitable to provide all assist in providing facilities for recreation or other leisure time occupations if the facilities are provided in the interest of social welfare. The sub section also contains an overriding proviso that the trust must be for public benefit. The requirement that facilities must be provided in the interest of social welfare is not satisfied unless

1. It is provided with the object of improving the conditions of life for the persons for whom the facilities are primarily intended and;
2. Either
 1. The persons have need for such facilities by reason of their age, youth, infirmity or disablement, poverty or social and economic circumstances; or
 2. The facilities are to be available to the members or females' members of the public at large;

In conclusion therefore, it can only be said that each charitable trust must promote a public benefit but not everything that promotes a public benefit is such a trust. Therefore, a private trust which may benefit the public does not thereby become a public trust. Public refers to the public in general or a section of the public. A trust will be charitable if it confers a public benefit and is aimed at the public at large even though by its very nature only a limited number of people can avail themselves of that benefit.

The Courts of Chancery have defined thus "On the one hand a form of relief extended to the whole community yet by its very nature advantageous only to the few and on the other hand a form of relief accorded to a selected few out of a larger number equally able and willing to take advantage of it. The first is charitable and there is a public benefit while the second does not have a public benefit. The question of whether the gift is charitable is one of evidence to be decided upon by the courts and the opinion of the donor that he gives his gift to the public is not material.

There is an exception to the rule that a charitable trust must be for charitable benefit and that is the trust for the relief of poverty. Such a trust in favour of one's relations or members of a club or employees of a particular employer although having a restricted class of beneficiaries is nonetheless charitable. The exception is well established but is anomalous and will not be extended by analogy. For example, a trust for the education of one's relatives has been held not to be charitable.

THE EXCLUSIVE NATURE OF CHARITY

In the UK subject to the Charitable Trusts (Validation) Act 1954 it is essential that the Trustees be bound to devote the trust property or the trust fund to charitable purposes exclusively and in the case of *Hunter V Attorney General* [1899] A.C. 309 it was held that a gift does not create a valid charitable trust unless every object or purpose is wholly charitable. Therefore, if there are joint purposes or alternative purposes which are non-charitable the gift will not succeed as a charitable trust.

AND/OR

The exclusive nature of charity

The settlor may for example join the word charitable with another adjective such as benevolent or philanthropic. It has been argued that if the joining word used is 'and' for example for charitable and benevolent purposes the gift will succeed as it can only be applied to such benevolent purposes as are charitable. It might also be argued that if the joining word used is 'or' the gift may fail because the property can be applied to benevolent purposes that are not charitable. Therefore, a gift "for such charitable or disserving purposes which my executor may select" will fail because the executor without committing any breach of trust may apply the property either partly or wholly to a non-charitable object. It is all a question of construction however and the word 'and' may have been used disjunctively and the word 'or' conjunctively.

In the case of Houston V. Burns [1918] AC 337 the gift was made for "public benevolent or charitable purposes" in a Scottish Parish and according to the House of Lords the gift failed as not being charitable because the words were wide enough to justify the trustees in disposing of the fund to non-charitable purposes.

A similar result occurred in Chichester Diocesan Fund & Board of Finance (Inc) V Simpson [1944] AC 341 by the use of the words charitable or benevolent. In this case the trustees had paid the money which was considerable to various charities not anticipating litigation by the next of kin which in fact occurred. Their case to recover the money from the charities themselves also went to the House of Lords in the leading case of Re Diplock [1948] Ch. 465

In the case of AG of Bahamas V. Royal Trust Co. [1986] 3 All E.R. 323 the privy Council held not charitable a bequest for "any purposes for and or connected with the education and welfare of Bahamian Children and Young People on the grounds that education and welfare should be interpreted disjunctively and that a trust for welfare was not necessarily charitable.

In Webb V. O'Doherty The Times 11th February 91 Officers of a Students Union were restrained from making any payments to the National Students Committee to stop war in the Gulf or to the Cambridge Committee to stop war in the Gulf whose purposes were said not to be charitable. The Union was an educational charity and the officers were therefore only entitled to use its property for charitable purposes.

Article in 56 L'QR 458 when and means or by Khanna

Compound charitable purposes are valid for example a gift for educational or religious or charitable purposes because each of these items is exclusively charitable. Refer to Public Trustee V. Ward [1941] Ch. 308

(profit making)

Generally, it is not compatible with charitable status to seek profit as primary objective. Fees may however be charged and incidental acquisition of profit arising therefrom will not disqualify the trust. Refer to Scottish Burial Reform in which it was held in relevant part that the charging of fees by the society did not disqualify it and the society whose main object was the promotion of sanitary methods of disposing of the dead was held charitable.

There are exceptions to the exclusively charitable rule as follows:

1. Apportionment – the trustees may be given power or may be under a duty to apportion the property between charitable and non-charitable purposes. Such a power or duty will not disqualify the trust. If

the trustees fail to apportion the court will apply the maxim equality is equity and divide equally between charitable and non-charitable.

2. Power of variation: Where the trustees have the power to revoke charitable trust and to declare substitute non-charitable ones the mere existence of this unexercised power does not render the original trust non-charitable.
3. Incidental or Ancillary purposes: If a purpose is incidental to the achievement of a purpose which is charitable, it will not destroy the gift. Refer to Royal College of Surgeons V. National Provincial Bank Ltd [1952] A.C. 631 in which the House of Lords held that the college in law was a charity since its objects as recited in the Charter was “the advancement, promotion and encouragement of the study and practice of surgery” the professional protection of its members provided for in the bylaws was held to be merely ancillary to that object.

In the case of Re Coxen [1948] Ch. 747 the testator entrusted to the court of Aldermen of the City of London the management of a large fund for the benefit of orthopaedic hospitals and directed that an annual sum not exceeding a hundred pounds be applied for a dinner for the court upon meeting for the trust business. The dinner was held by the Judge to be purely ancillary to the primary charitable trust and for the better administration of the trust.

Ancillary or Incidental purposes must be distinguished from purposes which are subsidiary and not merely incidental. Thus, in the case of Oxford Group V IRC [1949] 2 All E R 537 The Court of Appeal held that one of the objects set out in the group’s memorandum of association namely “to support any charitable or benevolent association” actually conferred powers which were so wide that they could not be regarded as charitable. They were not merely ancillary to the main objects which were admittedly charitable and set out elsewhere in the Memorandum and the group did not therefore constitute a charity.

As a result of this decision which was thought to affect a large number of charities a committee was appointed known as the Nathan Committee which recommended some amendment to the law resulting in the Charitable Trust (Validation) Act 1954 which Act did not however go as far as completely reversing the decision. The general intentment of the Act is to allow variation of a vague gift so that it becomes wholly charitable. Refer to Re Chitty’s Wills Trust (1970) Ch. 254.

Section 62 of the Civil Procedure Act and *the Cy Près Doctrine*

Under Section 62 of the CPA the High Court is given the supervisory jurisdiction over charitable trusts. Section 62 can be invoked

1. *Where there is an alleged breach of trust;*
2. *Where a direction of the court is deemed necessary for the administration of such a trust.*

Proceedings can be brought by either the Attorney General or by two or more persons who have an interest in the Trust, they have to show locus with the express consent of the AG. On the question of who is sued, it is normally the trustees who are sued but sometimes the suit may be non-contentious e.g. where only a direction is being sought in which case the trustee themselves can bring the proceedings and that would be a Declaratory Suit under Order II Rule 7 of the Civil Procedure Rules. By virtue of Section 62 such proceedings can only be brought in the High Court and under Section 62 various remedies can be sought as follows:

1. *Removal of any trustee;*
 2. *Appointment of a new trustee;*
 3. *Vesting of property in the trustee;*
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4. *An order directing accounts and inquiries – this stems from the fact that the trustee is accountable to the beneficiaries and conversely the beneficiaries themselves are entitled to accounts and information;*
5. *Declaring what proportion of the fund shall be allocated to any particular object of the trust;*
6. *Authorising the whole or any part of the trust property to be let, sold, mortgaged or exchanged;*
7. *Setting up a scheme – this arises under the Cy-Près doctrine.*

Sometimes purposes for which the trust is set up cannot be achieved in the prescribed manner. If it is a private trust and the objects are impossible, the trust will fail and there will be a resulting trust in favour of the settlor or his estate if he is dead. On the other hand, if it is a public or charitable trust, even if it is initially impossible or it subsequently becomes so, in many cases the trust does not fail as a result of the Cy-Près doctrine. Instead of allowing the trust to fail, the court will apply the doctrine of Cy-Près (which means near to it) and apply the property to charitable objects as close as possible to the original trust. The operation of the Cy-Près doctrine is by what are called schemes under Section 62 (g) of Cap 21.

For Cy-Près to operate, two conditions must be met:

1. There must be a paramount or general intention of charity. The donor must show a clear intention to pass on the property to charity instead of the usual beneficiaries. This first rule is however not universal and applies only where the original trust fails ab initio. If the trust subsequently becomes unattainable but was operational it will not fail because of the absence of a general charitable intention. In such a case and also in the case of unidentified donors the funds will apply Cy-Près. A general intention towards charity can be resisted if there is a contrary indication either express or implied under the Will or the Trust Deed. Therefore, if the gift is for a particular purpose only and that purpose fails, there is no room for the application of the Cy-Près doctrine and the entire gift will fail. Refer to the case of Re Wilson [1913] 1 Ch. 314 – 320.

Cy-Près is an Anglo-Norman phrase which meant something as near as possible or near to it. The doctrine of Cy-Près in charity law lays down that where property given on trust for charitable purposes cannot be used in the precise manner prescribed by the donor, the courts and also the charity commissioners in the UK may make a scheme for the application of the property to purposes resembling as closely as possible those originally intended by the donor. The idea is not to frustrate the intention of the donor who in any case cannot be consulted where the gift is testamentary.

Initial Failure

In the case of Re Harwood [1936] Ch. 285 a gift had been made to the peace society in Belfast which society could not be shown to have ever existed. The Judge found that there was a general intention to benefit societies aimed at promoting peace and the gift was therefore applied Cy-Près. There was also a second gift in the Will to the Wisbech Peace Society which had once existed but had ceased to exist prior to the Testator's death and this gift was held to have lapsed. (Is promotion of peace Charitable? Can the court determine whether a particular society that claims to promote peace is actually promoting peace? In the case of Re Satterwaite [1966] 1 WLR 277 A Will listed a number of organizations concerned with animal welfare. The list had been created carelessly from the London Telephone Directory and the testatrix chief concern was merely to divert her Estate to animal charities because she hated the entire human race. One of the institutions named namely the London Animal Hospital had in fact never existed. The Court of Appeal nevertheless held the gift to be applicable Cy-Près as a general intention could be discerned from the testatrix known attitude towards the human race.

Note that if a body has ceased to exist by reason of amalgamation, with other charitable bodies a gift to the non-existent body will not fail and will be applied Cy-Près to the amalgamated organization. Refer to the case of Re Faraker [1902] 2 Ch. 488

Another approach adopted by the court is to find that the gift was made for the purpose of the named charity rather than the body itself. Refer to Re Finger's Wales Trust [1972] Ch. 286 where gifts had been made to the National Radium Commission which was an unincorporated association and also to the National Council for Maternity and Child Welfare which was incorporated. Both bodies had ceased to exist by the time of the testatrix's death. The gift to the Radium Commission was interpreted as a gift to its purposes and since this still continued, the gift did not fail. The other gift would have failed as a gift to a corporate charity except that there was a general charitable intention and it could therefore also be applied Cy-Près.

In the case of Biscoe V. Jackson [1887] 35 Ch.D 460 money was to be applied towards the establishment of a Soup Kitchen in Shoreditch and a Cottage Hospital there. It was not possible to apply the gift in the manner indicated. The Court of Appeal held that there was sufficient general intention of charity for the benefit of the poor of Shoreditch to entitle the court to execute the trust Cy-Près. It was decided in effect that the direction to establish a soup kitchen and a cottage hospital was only one means of benefiting the poor of Shoreditch whom there was a general intention of benefiting.

2. The second condition for the application of the Cy-Près doctrine is that the trust has become impossible or impracticable to carry out or alternatively that a surplus has remained after carrying out the purpose. It may be impossible because the beneficiaries no longer exist, cannot be identified or traced or because the property is generating no income where it is the income to be applied to the purpose or even because the funds are insufficient. Impossibility has been interpreted vary widely by the courts and for example in the case of Re Dominion, Students Hall Trust [1947] Ch. 183 in which the charity in question was restricted to Dominion Students of European origin yet the objects were stated to be the promotion of a community of interests in the Empire. An application was made to court to delete the words "of European Origin" and the Judge held that the retention of the words amounted to a colour-bar which would defeat the object of the charity and that the word 'impossible' should be construed widely and covered this case. He allowed the deletion of the words.

Sometimes a trust generates surplus income so that the objects are achieved and there are leftover funds. The Cy-Près doctrine will be applied to give the excess to similar charities or objects. Refer to Re North Devon & West Somerset Relief Fund [1953] 1 WLR 1260 in which a surplus remained out of funds subscribed for the relief of the flood disaster at Lynmouth.

A gift may also be impracticable for example where the funds are insufficient for the purpose.

WAQF (WAKF)

Wakf means to bind the property. It is a trust for charitable purposes established under Islamic Law and it is therefore tied up to purposes related to religion. Like in all other trusts the donor gives and the trustees take and then the purposes of the trust are identified and administered through case law for essentials of the WAKF have been established as follows:

1. *It must be a final gift to charity;*
 2. *the donor must actually divest himself of his right in the property – this means that with respect to a wakf there can never be anything like a resulting trust. They are supposed to divest themselves.*
 3. *It must be an irrevocable and absolute gift;*
 4. *It must be perpetual.*
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The rule against perpetuity – the requirement of the wakf offends this rule – Acts such as the RLA there are exceptions for purposes of the waqf.

With regard to the 1st essential – final gift to charity – the purpose can be any object which Mohamedan Law would approve of and therefore the objects must fall within the Sheriat. The public or a section of the public and other groups approved by equity will qualify. For purposes of charitable trusts equity does not approve of any other group apart from the public, a section of the public and other groups approved by equity will qualify. However, in a WAQF even family members and specific groups which equity would normally exclude as not charitable will qualify. Therefore, a trust as a waqf for the education of members of the family is a good trust.

With regard to the 2nd and 3rd essentials this is a fundamental part of a wakf a gift as trust fund and a wakf cannot be contingent. It must not only be an absolute gift but the donor must actually divest himself of the property. He cannot retain title to the property. As a result, no resulting trust to the donor or his Estate can arise.

With regard to the 4th essential, a wakf is a trust in perpetuity contrary to a trust in equity perpetuity is not only permitted, it is a characteristic of a waqf and even if the donor does not state that he gives his gift in perpetuity the law will deal with the gift as a perpetual trust.

Under Section 88 of the RLA a transfer shall not limit disposal of real property otherwise it shall be void. This is a rule against perpetuities. Section 88(4) makes exceptions for purposes of a wakf which conflicts with this rule. The administration of a wakf is by administration of person called Mutawalis. The Wakf is administered by trustees called Mutawalis. Any person may be appointed a Mutawali including the donor but he may not by reason of such appointment retain any right in the property. Refer to Kermali & Others V. Dhalla & Others [1957] EA 168 and Abdoo & Others V. Saleh [1964] EA 115

Note that a Wakf being a public trust is subject to Section 62 of the Civil procedure Act and which fact was upheld in the above cases.

In Kermali a wakf was held public and an action which had been brought under the equivalent of Section 62 of Cap 21 asking for the removal of a trustee was refused in the exercise of the Court's discretion.

The WAQF is also governed by the WAQF Commissioners Act Cap 109 of the Laws of Kenya.

TRUSTEES

In general, the ability to be a trustee is co-extensive with the ability to own property. Therefore, if an alien can hold land, he can be a trustee of such land. Capacity to be a trustee is also now extended to corporations. A very large number of Trust Corporations have arisen and every big bank for example has a Trustee Department.

A trust corporation is defined under Section of the Trustee Act Cap 167 as

1. The public Trustee
 2. A corporation appointed by the court;
 3. A trust corporation as defined by the law of Succession Act Cap 160 S. 3 (1)
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Certain administrative conveniences attach to trust corporations for example they do not need to give security to the court when taking out letters of administration. The court considers that they are good for the money except where under the law of Succession Act the Corporation has a subscribed Capital of less than KShs. 500,000/-.

An infant or minor cannot be appointed a trustee and any conveyance to one as trustee will give rise only to a declaration of trust under a resulting trust in favour of the settlor. If the appointed trustees are partly infant and partly adult then only the adults will take as trustees.

Section 36 of Cap 167 provides that there shall not be more than 4 with the exception of a charitable trust. If there is a private trust you cannot have more than 4 trustees. If more than 4 are appointed then only the 1st 4 names who are able and willing to act will alone be trustees. However, this applies only to trusts which came into effect after the commencement of the Trustee Act on 16th November 1929.

The rule as to the maximum of 4 trustees does not apply to trusts for charitable ecclesiastical and public purposes or where the net proceeds of sale of the trust property are to be held for those purposes.

The saying goes that Equity does not want for a Trustee' therefore a trust can be variedly brought into being even if there are no trustees for example because they have to be appointed or have all renounced their duties as trustees or have died or are unable to act or any other reason for example insanity or bankruptcy. In such cases the trust continues and on application of those entitled the court will appoint new trustees.

APPOINTMENT OF TRUSTEES

Initial trustees are normally named in the Trustee Document and they could also be named by the personal representatives of the testator and in very rare cases by the courts.

SUBSEQUENT TRUSTEES

These are appointed either by the surviving trustee or trustees or under a direction of the Will or Trust Deed or by the courts. Once the trust is constituted the settlor has no power to appoint trustees unless he has reserved such a power for himself.

The trust deed may vest or reserve power to some specific persons to name new trustees. Normally the power will be vested in the surviving trustee or trustees. Therefore, unincorporated bodies such as clubs and societies their constitutions and rules will normally vest the power of appointment of trustees in the general membership or a specific committee such as the executive committee of the organization.

APPOINTMENT OF NEW TRUSTEES

There is power vested in the court under Section 42 of the Trustees Act to appoint new trustee which is exercisable

1. When it is expedient to appoint a new trustee or new trustees;
 2. Where it is found inexpedient difficult or impracticable to appoint without the court's assistance;
 3. The court may also appoint in circumstances where Section 37 would have been invoked but however these powers do not empower the court to appoint an executor or administrator of an estate which powers are specifically and exclusively dealt with under the law of Succession Act Section 51 – 55 of Cap 160.
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The Public Trustee under the Public Trustee Act Cap 168 is the Corporation sole and is therefore self-perpetuating and does not need substitution by individual's other government offices like the PS Treasury are also corporation sole.

HOW TRUSTEESHIP ENDS

1. By disclaimer; a person appointed as a trustee is not bound to act as such unless he or she has received consideration. However, if the trustee has accepted the trust, he cannot therefore disclaim it. Disclaimer must be ab initio. Refer to *Re Lister* [1926] Ch. 149; for the disclaimer to be effective it must be of the whole trust and not just a part of the trust. The effect of disclaimer is that if there are other trustees the property will vest in them. If the disclaiming trustee was sole trustee or if all the trustees disclaim then if inter vivos the settlor himself will become the Trustee and if the Trust was through a will, the personal representative will hold on trust. If the instrument creating the trust vests someone with power to appoint new trustees this power may be used to fill the gap. If all else fails the court will appoint new trustees on application of those entitled.
2. By retirement – formerly a trustee could not retire save under stringent express powers or by order of the court or by consent of all the beneficiaries if sui juris. Application may now be made to the court and the court will first examine if there are sufficient surviving trustees to continue the trust before allowing retirement.
3. On appointment of new trustees e.g. where the term of office of the trustees is fixed, for the club's societies and so on normally the term is fixed and after expiry of 4 years the board meets and appoints new trustees
4. On removal by the court either by statutory power or under its inherent jurisdiction. Refer to the case of *Lettersdet V. Browers* [1884] 9 App. Cas 371 where trust and respect between the Trustee and the beneficiaries had broken down and where even though no evidence of misconduct had been alleged by the beneficiaries the court allowed an application for removal of the trustee in exercise of its inherent jurisdiction.

DUTIES & DISCRETIONS OF TRUSTEES

Snell in his principles of Equity points out that “the office of a trustee is onerous. A trust is an office necessary in the concerns between man and man and if faithfully discharged attended with no small degree of trouble and anxiety so that it is an act of great kindness in anyone to accept it”.

A trustee has to perform many duties and in doing so he must observe the utmost diligence in addition he must comply with the provisions of statutes with the principles of equity with any directions of the court and with the provisions of the trust instrument itself. However, the trustee also exercises discretion for example where to invest the trust fund and how much to advance a beneficiary.

In carrying out his duties the trustee must act honestly and must use such diligence as a prudent man of business would exercise in dealing with his own affairs. He must do his best to enlarge and not to endanger the trust fund. His is an active duty and not merely a passive one of keeping the assets. He must not commit fraud in dealing with the trust fund or profit himself out of it. The courts take the view that a prudent man of business will act profitably and so should a trustee.

As part of his duties the trustee must keep the trust property in a state of security. He must firstly reduce it into his possession. He has to take control.

Secondly, he must invest it whenever there is a surplus, the duty to invest also includes a duty to convert and then invest. For example, wasting assets such as motor vehicle would mean selling and investing in income generating investments, it is an active duty.

Thirdly he must pay the expenses and debts of the trust or the Estate and in respect to the Estate he must also pay any Legacies provided under a will. When the trust invests he must invest only in authorized investments namely those investments authorized under the Will or the Trustee or by Section 4 of the Trustee Act or by Equity.

The Categories of Investments and the manner in which they must be invested are prescribed by the schedule to the Trustee Act. In choosing investments the Trustee is under a duty to take advice in the way prescribed in the schedule for example a valuer's advice, surveyor's advice, Estate Agents and even legal advice etc.

Alongside the duties to convert invest and manage is the duty to keep accounts and records. He has to remember that a trustee is an accounting fiduciary party.

CONTROL OF THE TRUSTEE BY THE BENEFICIARIES

In carrying out his duties a trustee is guided by the trust instrument as well as by statutes and by the rules of equity. He must carry out the will of the settlor or the testator. The beneficiaries cannot therefore determine how the trustee's duties are to be exercised. However, if all the beneficiaries are sui juris and are together entitled to the whole of the beneficial interest, they can put an end to the trust and direct the trustee to hand over or distribute the property.

CONTROL BY THE COURTS OVER THE TRUSTEE'S PERFORMANCE:

The court can always supervise the trustee and it does so through its inherent powers and through the power set out in the Trustee Act as well as Section 62 of the Civil Procedure Act for purposes of Public Trust.

The court does not administer the trust itself. What it does is to constantly supervise and it has wide powers under the Trustee Act

1. In the management and administration, itself for example by approving a certain sale or other transaction and in giving directions for the appointment of new trustees;
 2. To permit variation in the trust and in doing so the court will have the best interests of all the beneficiaries in mind.
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ENTITLEMENT OF TRUSTEES UNDER A TRUST

Trustees may not profit from the Trust either directly or indirectly. They are generally not entitled to remuneration for the care and trouble they undertake. So for example if the trustee is an advocate, he may not charge legal fees. There are however exceptions to the rules:

1. By agreement with the beneficiaries if they are sui juris;
2. By express authority in the Trust instrument;
3. Through court order by application;
4. Advocates costs in litigation; so if the trustee is an advocate and she acts on her own behalf and on behalf of court trustees profits costs on successful litigation may be retained by the advocate trustee.
5. A trustee is entitled to be indemnified against actual expenses which have been **properly incurred** in the trust administration. If he went on a frolic of his own, he should be surcharged. For example he may pay insurance premium on the trust property, pay for expert advice maintenance, etc, these he is entitled to recoup.

POWERS OF TRUSTEES

Powers are conferred either by the Trust Instrument or by the Trustee Act and the principal powers are as follows:

1. Power of Sale;
2. Partition;
3. Delegation;
4. Compromise;
5. Maintenance and Advancement;
6. Powers of appointment.

Others include the power to insure under the Trustee Act.

POWER OF SALE

This is provided for under **Section 13 of the Trustee Act Cap 167** however the trust instrument may also authorise trustee to sell. In the absence of such authority the trustee must have statutory authority or alternatively must apply to court for an order of approving the sale.

The method of sale must be that which is to the best advantage of the beneficiaries. So if the trustee applies for an order approving a sale he must state the method that will be followed either by public auction or by private treaty. The trustee must conduct himself in the best interests of the beneficiaries to whom he is accountable. He can sell in whole or in part.

DELEGATION

The office of the trustee is one of confidence and therefore in general cannot be delegated. Exceptions to the rule are that;

1. **The Trustee may now employ agents** – the power to employ agents is a power to employ certain persons to perform specific tasks and this is provided for under **Section 24 of the Trustee Act**. Examples are agents to take legal action and this would be advocates in our case, to write up accounts, to give advice on investments etc and the Trustee is authorised to pay for the services out of the Estate

or the Trust Fund. Nevertheless, the Trustee remains personally liable for any breach in the trust although he may not be liable for the negligence of the employed agents if he has acted reasonably in relying on these qualified persons.

2. Section 20 of the Act confers power to delegate trusts during the absence of the Trustee out of the country for periods of over 1 month.

POWER OF COMPROMISE

The court has inherent power as well as power under Section 16 (f) of Cap 21 to sanction a compromise in respect of the disputed rights on application by the trustees. Refer to Re Chapman [1954] AC 429 AND Re Downshire's Settled Estate [1953] 1 AER 103. the second case discusses the extent of the meaning of the word compromise and suggest that it should not be limited only to disputed rights.

POWER OF APPOINTMENT

This is the exercise by the Trustee of the right to designate the person or persons to take the trust property or part of the Trust property thereof.

In the case of Turner V Turner [1984] Ch. 100 1983 2 All ER 745 trustees had exercised powers of appointment at the request of the settlor not appreciating the duty to consider the exercise of this power which attached to their office as trustees. *They merely acted on the instructions of the settlor and did not exercise their discretion.* When the appointments were challenged in court they were held to have acted in breach of trust and the appointments they had made in the years 1967 to 1971 and 1976 were held to be void.

POWER OF MAINTENANCE

The power of the court to order maintenance on the trustee's application is based on the assumption that the intention to provide sensibly for the family members is paramount.

Refer to the case of Re Downshire's Settled Estate [1953] 1 AER 103. The court orders maintenance in disregard of the Trust where the immediate beneficiaries have no funds for their present maintenance. An order for maintenance will obviously resort in a variation of the beneficial interests.

POWER OF ADVANCEMENT

This consists of the payment or application of a capital sum in order to establish a beneficiary in life or to make a permanent provision for him or for her.

Refer to the cases of :

- *Kernot V. Hayward [1957] Ch. 528*
- *Hardy V. Shaw [1975] All ER 1052.*

Advancement can be on more than one occasion provided that the total amount advanced does not exceed one half of the presumptive or vested share of a particular beneficiary. What is advanced must be brought into account at the time of distribution.
